



Technical and statistical report

Financing development

External flows of financial capital to
developing countries and their cost



United
Nations



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**United
Nations**
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Introduction

The quantity and cost of capital that developing countries can access – both domestically and externally – is one of the most critical constraints to their ability to develop and has been a focus of UNCTAD since its establishment.

An inability to access affordable, long-term capital and a loss of fiscal space are identified as key contributors to the failure of many developing countries to invest sufficiently in their sustainable development agendas. Between 2018 and 2024, 99 developing countries – home to 5.5 billion people in 2024 – experienced a decrease in the share of government revenue available to spend on other things, including the Sustainable Development Goals (SDGs), due to rising public sector interest costs.

Against this backdrop, it is not surprising then that progress towards the SDGs remains too slow, with only 35 per cent of SDG targets on track or making moderate progress, 17 per cent stagnating and 18 per cent in reverse (UN DESA, 2025).

This report examines what has become known as the “high cost of capital” in developing countries. It analyses the scale, composition, volatility, and cost of external financial flows, with a particular focus on sovereign debt financing and its implications for fiscal space and sustainable development. The focus is on external financial capital, which refers to the money and liquid assets that are sourced from non-residents and are used by companies, individuals and governments to finance operations and activities, invest, and generate future streams of revenue.

Section 2 begins by mapping the scale and composition of external financial flows from non-residents in both functional and instrument terms and then explores the implications of filling the SDG financing gap from these sources. This is followed by an examination of trends in the average cost of servicing the accumulated stock of external liabilities. Since much of the external debt of developing countries is incurred by their governments, the section also draws a link between external borrowing costs and the erosion of fiscal space. The analysis finds that challenges around the volatility, scale and cost of external liabilities have their origins in debt related dynamics, rather than equity-related ones. This motivates a shift in focus from a holistic assessment of all external flows to a deeper analysis of sovereign debt in subsequent sections.

Having established that external borrowing costs directly and indirectly impact public sector borrowing costs, Section 3 examines the impact of elevated public sector interest costs on the capacity of countries to pursue their development agendas and examines what the implications would be if developing country governments could borrow at similar rates to developed countries.

Section 4 analyses the volumes and borrowing conditions associated with the two main instruments of external

sovereign debt financing: debt securities and loans. It shows that, despite some improvement in market conditions, financing costs remain elevated and the borrowing premium for developing countries persists. High coupon rates, shortened maturities, and debt locked in at peak interest rates means that the cost of sovereign borrowing will continue to weigh on developing country finances for years to come.

Section 5 provides an overview of the main drivers of sovereign borrowing costs. It distinguishes between those drivers that originate at the national level, over which developing countries have some direct control, and those that are external and that require solutions at the multilateral level or through cooperative action between countries.

Section 6 identifies a series of national and multilateral policies aimed at reducing the costs and volatility of external debt financing and increasing its scale. It also identifies cooperative and supporting actions – such as providing technical assistance to support capacity building in treasury and debt management offices– that are critical to ensuring that the policies proposed can be effectively implemented. The role of the Borrowers' Platform in creating a space for borrowing developing countries to benefit from peer learning is highlighted.



Box 1 **Analytical scope**

Countries are categorized as **developed** or **developing** using the official United Nations classification in accordance with the M49 Standard. The focus of this report is on the flows of financial capital from non-residents to developing countries. For certain indicators, the experience of developing countries is contrasted with that of developed countries. In recognition of the fact that developing countries are not a homogenous group, the analysis also examines the experience of sub-groups of developing countries, based on their levels of integration into global capital markets and their geographic location.

The classification of developing countries according to their levels of financial integration identifies three distinct groups:

- Emerging market economies, or EMEs, that are mostly upper-middle income developing countries that integrated into the international capital market in the 1990s and early 2000s,
- Frontier market economies, or FMEs, that are mainly low- or lower-middle income developing countries that integrated into the global capital market after the Global Financial Crisis of 2008, and
- Other developing economies, or ODEs, that are developing countries that are neither EMEs nor FMEs and that tend to have low degrees of integration into international capital markets and rely mainly on external public financing from official sources.

This classification is based on the composition of the J.P. Morgan NEXGEM and EMBI bond indices. It was previously used by UNCTAD in the Trade and Development Report 2023 (UNCTAD, 2023a) and more recently in an analysis of debt vulnerabilities in developing countries (UNCTAD, 2025c).

The analysis also examines trends in developing countries located in three geographic regions: Africa, Latin America and the Caribbean and Asia and the Pacific. EMEs, FMEs and ODEs are distributed across each of these regions, although the composition varies. For example, Africa has 4 EMEs, 13 FMEs and 37 ODEs, while Latin America and the Caribbean has 12 EMEs, 9 FMEs and 12 ODEs. Asia and the Pacific has 14 EMEs, 12 FMEs and 32 ODEs. Annex 1 provides a detailed list of developing countries by region and level of integration into global capital markets.



2

Mapping the scale, cost and volatility of external financing flows

Section Summary

- ▶ In 2024, non-resident financial flows to developing countries totalled close to \$1.5 trillion, which was split almost equally between equity and debt instruments.
- ▶ External and domestic sources of financing are around \$4.3 trillion below what is required annually for developing countries to achieve the Sustainable Development Goals. To close the gap, both these sources of finance will need to increase by one third from their 2024 levels.
- ▶ Developing countries received only 11 per cent of the financing required for capital formation from non-resident external sources in 2024 compared with the 38 per cent received by developed countries.
- ▶ External financial flows to developing countries are highly volatile, with most of this volatility due to changes in portfolio and other investment flows that are both dominated by debt instruments.
- ▶ Financial inflows of direct, portfolio and other investment result in accumulated stocks of external liabilities which must be serviced over time through the payment of profits and royalties (in the case of equities) and interest (in the case of debt). In 2024, the equivalent of 72 per cent of new financial inflows from non-residents flowed back to them in the form of returns from developing countries.
- ▶ Developing countries paid higher average returns for all functional categories of foreign liabilities between 2014 and 2024 than developed countries, with the greatest difference evident in portfolio flows. This reflects the risk premium paid by developing countries.



- ▶ The cost of servicing equities remains higher than that of debt. However, the costs of equity in developing countries have converged with those of developed countries in recent years.
- ▶ In developing countries, the rate of increase in debt servicing costs was nearly three times faster than that of equities between 2014 and 2024. In addition, the cost of servicing their external debt grew faster than the stock of debt throughout this period. On average, Frontier Market Economies (FMEs) faced the highest average servicing costs over the period.
- ▶ A material share of the external debt of developing countries is advanced to their governments. As a result, a rise in external interest costs contributes to higher interest costs on public debt in these countries.

The scale and composition of external financial inflows to developing countries provides a good starting point for assessing their relative importance – particularly when compared with domestic sources of financing. Domestic financing accounted for a significantly larger share of the total financing used to fund capital formation in 2024 in both developed and developing countries than it did a decade previously (Figure 3).

2.1 Types of external financial capital

Financial flows in the balance of payments are divided into the functional categories of direct investment, portfolio investment, financial derivatives (other than reserves) and employee stock options; other investment; and reserve assets (IMF, 2025b). This section focuses on direct investment, portfolio investment, and other investment inflows, which are reflected as credits in the financial account and give rise to an accumulated stock of external liabilities.

These functional categories can also be classified according to the financing instruments used. While direct investment typically consists of equity instruments, portfolio and other investment tend to be dominated by debt instruments (Figure 1).

There are, however, differences in the types of debt instruments included in portfolio and other investment. Portfolio investment includes debt securities (bonds) that are characterised by a largely anonymous relationship between issuer and holder, and a high degree of trading liquidity and other investment consists mainly of loans and trade credits.

Because they are material for many developing countries, financial transfers from other governments¹ – which constitute part of their official development assistance (ODA) – are also included in the analysis. While these do not carry explicit servicing costs, they may have conditions attached such as requirements that transfers are used to procure goods and services from suppliers in the donor country².

Personal income transfers from family and friends living outside their original home country (typically referred to as remittances) also constitute a significant source of financial inflows from other countries. In 2024, remittances to developing countries collectively amounted to \$700 billion – up from around \$370 billion in 2014³ – which makes them more significant in scale than both portfolio investment and other investment flows and similar in scale to direct investment flows in 2024.

In 2024, domestic financing accounted for a significantly larger share of total financing than it did a decade earlier

¹ These are reflected in the capital transfer and secondary income accounts of the balance as payments as described in the IMF's Integrated Balance of Payments and International Investment Positions Manual, Seventh Edition. (IMF, 2025b).

² In 2024, 16 per cent of ODA provided by Development Assistance Committee countries had conditions attached to it (OECD, 2025).

³ 2014 was selected as the starting year for much of the analysis of external financial flows because the levels of coverage and inclusion of developing countries in IMF balance of payments and international investment position data increased significantly in this year and has since remained relatively consistent.

The payment of profits and royalties services the stocks of equity liabilities while interest payments service debt liabilities

However, while recognizing their scale and importance – particularly as a form of household ‘insurance’ against shocks – this study has chosen not to include remittances in the analysis that follows because a) they do not attract explicit costs; b) they vary significantly in scale by country – based on the size of particular diaspora populations⁴; and c) because the extent to which they finance gross capital formation is unclear.

2.2 The scale and composition of external financing

External inflows of financial capital reflect the money and liquid assets that are sourced from non-residents and used by companies, individuals and governments to finance operations and activities, invest and generate future streams of revenue. These inflows are captured in the

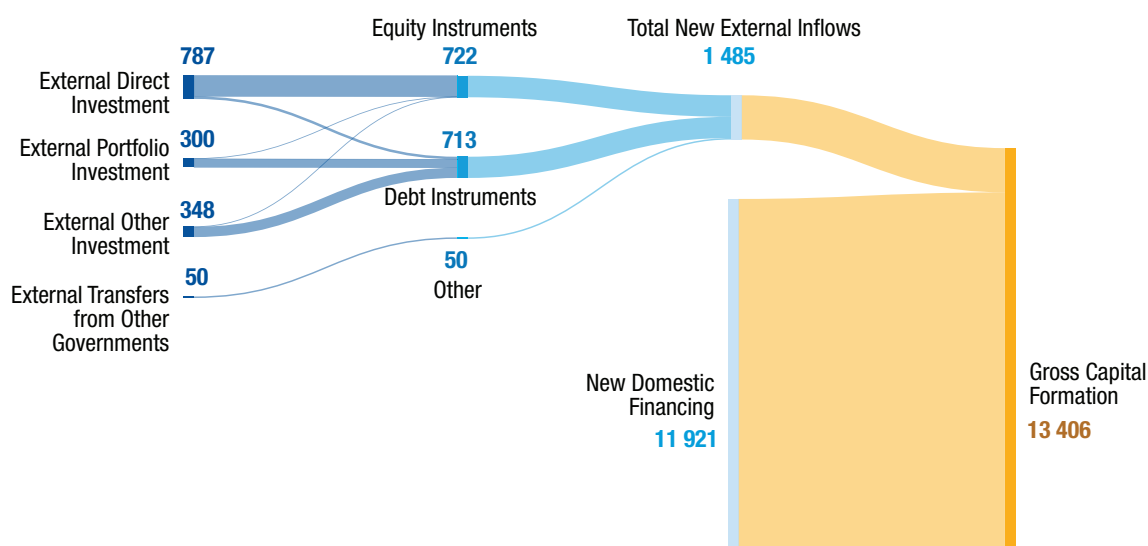
financial account of the receiving country’s balance of payments as credits and give rise to accumulated stocks of external liabilities that are reflected in the country’s international investment position. These stocks of liabilities are serviced through the payment of interest, profits and royalties, which are reflected as debits or outflows in the country’s primary income account.

New direct, portfolio and other investment inflows from non-residents and bilateral transfers from other governments totalled almost \$1.5 trillion in 2024 (Figure 1). Of this, \$722 billion was in the form of equity instruments, \$713 billion was debt-related flows and \$50 billion comprised external transfer payments from other governments. According to World Bank data, gross capital formation by developing countries was around \$13.4 trillion – suggesting new financing from domestic sources of around \$11.9 trillion.



Figure 1
External financial inflows relative to domestic financing

Sources of gross capital formation financing in developing countries in 2024
(Billions of dollars)



Source: UNCTAD calculations using IMF and World Bank data.

⁴ For example, in 2024 remittances to India accounted for almost 20 per cent of total remittances to developing countries.

A significant and growing financing gap – estimated at around \$4.3 trillion per year (UNCTAD, 2023b) – exists between the domestic and external financing resources that developing countries can access, and what they need to finance the investments required to achieve their SDG targets. The financing gap suggests that developing countries collectively need to be investing closer to \$17.7 trillion annually (current annual spending of \$13.4 trillion plus the \$4.3 trillion gap) between now and 2030 if they wish to achieve their SDG targets.

If this gap is apportioned to external and domestic sources in proportion to the scale

of their flows in 2024, it would require an increase in new external financial flows to developing countries of about \$476 billion per year. Within this total, around \$230 billion would need to be additional equity flows, \$230 billion additional debt flows, and \$16 billion additional bilateral transfers (Figure 2). It would also require the mobilization of additional domestic financial resources of around \$3.8 trillion a year. To close the financing gap, both external and domestic sources of finance will need to increase by close to a third on their respective 2024 levels.

Collectively, developing countries need to increase their investment from \$13.4 trillion to around \$17.7 trillion annually to achieve their SDG targets

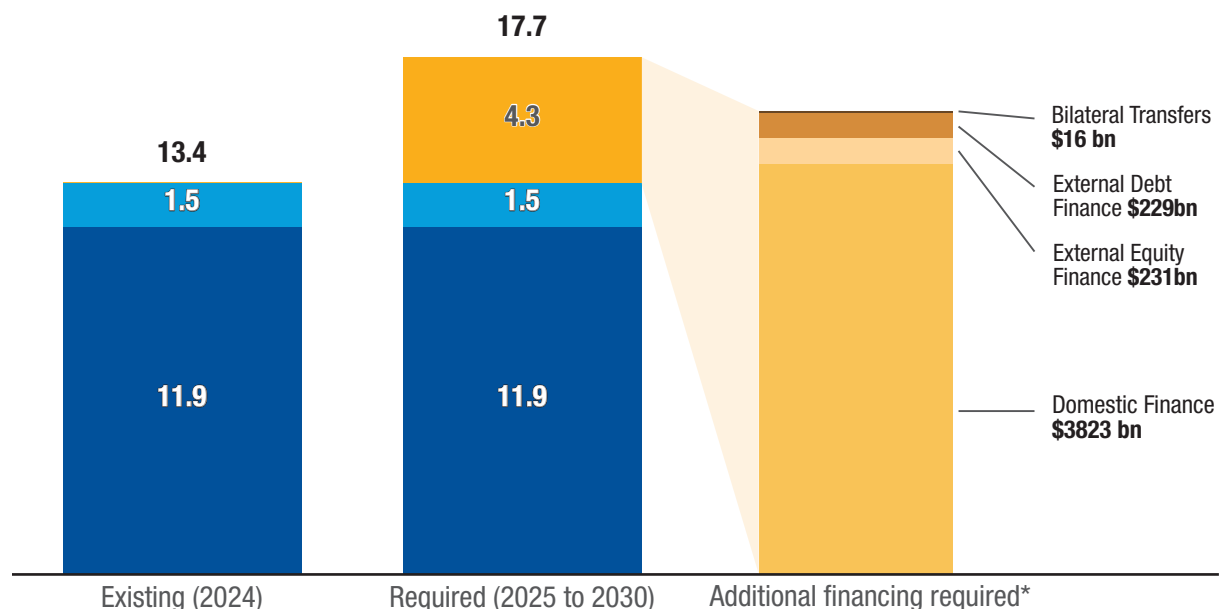


Figure 2
Closing the SDG financing gap

Implications of closing the annual financing gap from external and domestic financing sources

(Trillions of dollars)

■ Domestic financing ■ External financing ■ Financing gap



Source: UNCTAD calculations based on IMF and World Bank data.

Note: *It has been assumed that the financing gap is financed in proportion to the average contributions of domestic financing and the composition of external financing between 2014 and 2024.



However, there was significant variation in the degree to which different country groups accessed external financing sources to finance their gross capital formation in 2024 (Figure 3).

Developed countries received the equivalent of 38 per cent of the financing required from non-resident external sources, while developing countries only received 11 per cent. Since ODEs and FMEs are

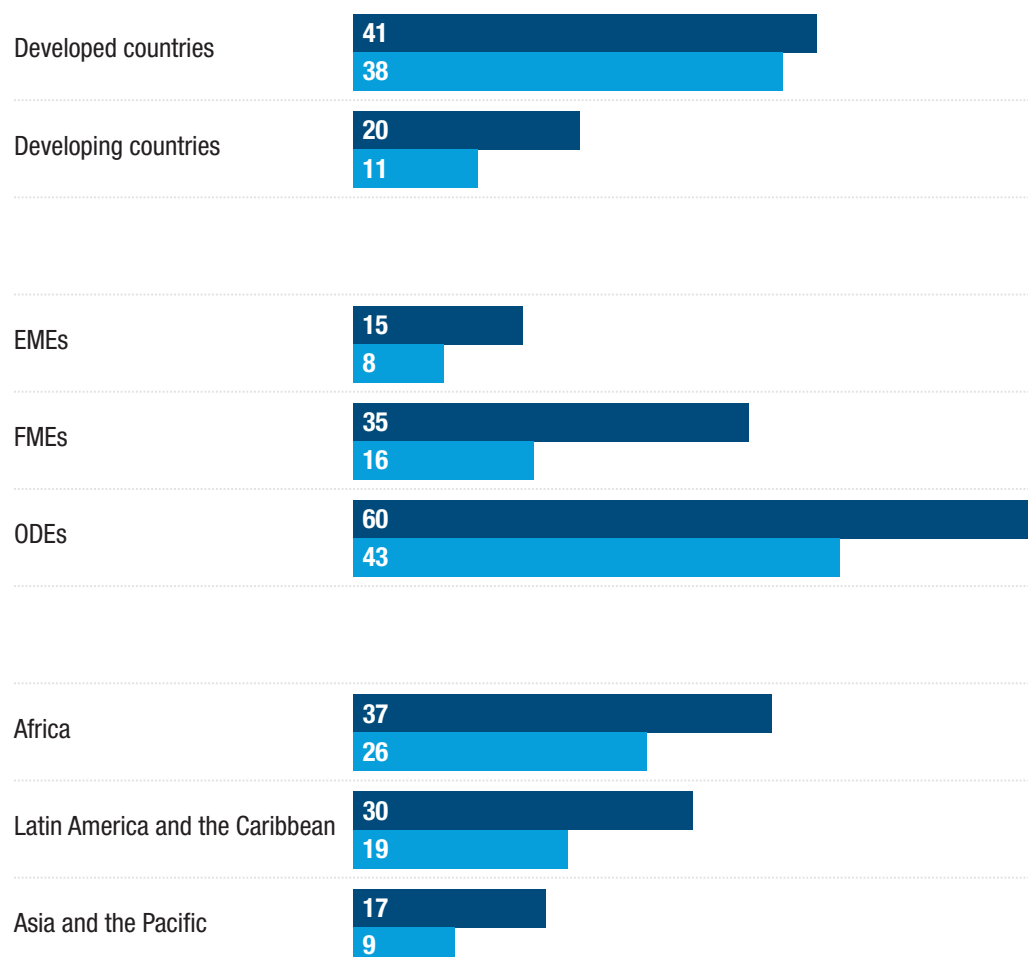
comparatively more reliant on external financing and, by virtue of their stage of development, require relatively greater scaling up of public sector investment to achieve their SDG targets, they will require proportionately greater increases in external sources of finance – particularly from official and concessional sources. This also applies to many African economies.



Figure 3
External finance's contribution to investment has shrunk

External financing from non-residents as a share of gross capital formation
(Per cent)

■ 2014 ■ 2024



Source: UNCTAD calculations based on IMF data.



All developing country groupings received significantly less of their financing for gross capital formation from non-resident external sources in 2024 than they did in 2014, and while developed countries also experienced a reduction, it was less pronounced.

Although the reduced contribution of external finance could be perceived as a sign of greater self-reliance and enhanced resilience, the fact that it was accompanied by a decline in non-resident inflows and stalled progress in meeting most SDG targets highlights the negative impact of

this trend on sustainable development. While gross capital formation in developing countries increased by 45 per cent between 2014 and 2024, and domestic financing rose by 60 per cent, new external inflows from non-residents decreased by 18 per cent over the same period (Figure 4).

External non-resident flows are subject to significant volatility, due primarily to the swings in portfolio and other investment flows (Figure 5). Debt is the dominant instrument in these two functional categories.

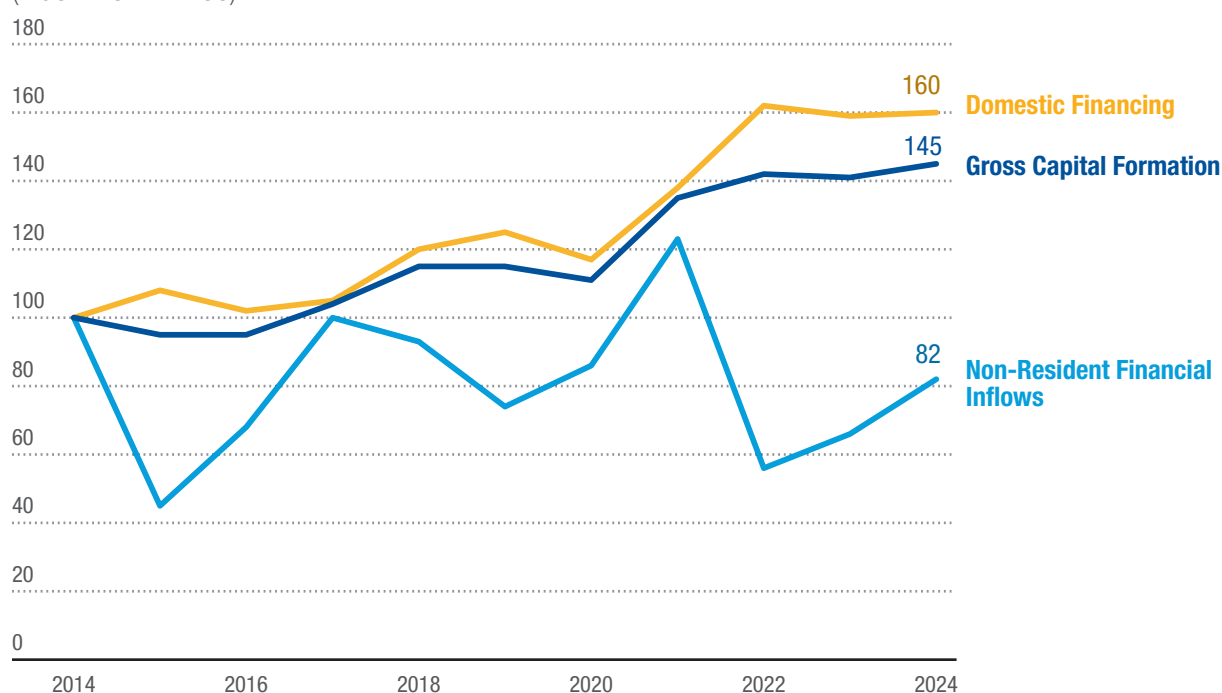
All developing country groups experienced significant declines in the contribution of external financing to gross capital formation



Figure 4
External financial flows lag finance from domestic sources

Relative trends in gross capital formation and external and domestic financing in developing countries

(Index: 2014 = 100)



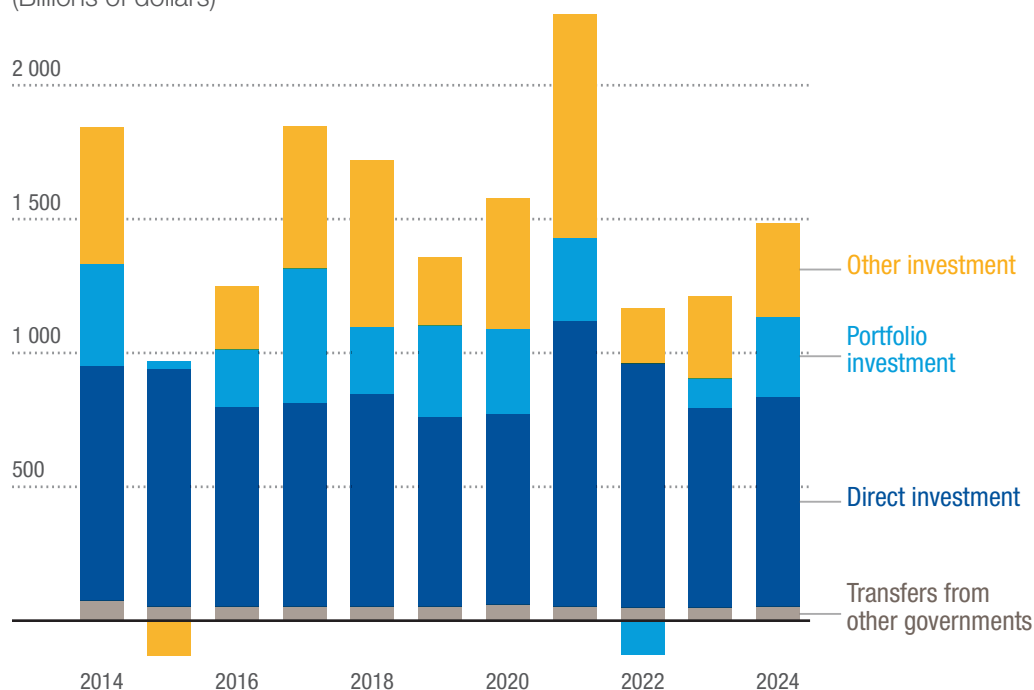
Source: UNCTAD calculations based on IMF data.





Figure 5
A financial roller-coaster

Non-resident financial flows to developing countries by type
(Billions of dollars)



Source: UNCTAD calculations based on IMF data.

Note: In 2015 there was a net withdrawal of other investment and in 2022 a net withdrawal of portfolio investment in developing countries by non-residents.

Africa only received a tenth of the total flows to developing countries, while Asia and the Pacific attracted more than 70 per cent

This volatility in external flows is highly synchronized with the global economic cycle and creates specific challenges for developing countries that exacerbate exchange rate volatility, amplify the counter-cyclical nature of debt servicing costs and necessitate domestic monetary and fiscal policy responses that tend to limit economic growth (UNCTAD, 2023a and 2024).

Figure 6 shows the scale of average annual financial inflows into different developing country groups between 2014 and 2024 and the share of total flows to developing countries received by each group. Regionally, while Africa accounts for 38 per cent of the number of developing countries and 22 per cent of the developing world's population, it only received a tenth of the total flows to developing countries. By contrast, Asia and the Pacific – accounting

for a similar share of countries and two-thirds of the population – attracted more than 70 per cent of inflows. Latin America and the Caribbean, with 24 per cent of developing countries and 10 per cent of the developing world's population, received less than a fifth of inflows.

Developed countries received a significantly higher share of their inflows as portfolio investment than developing countries, but this picture was reversed in relation to direct investment (Figure 7).

Since few ODEs have functioning securities markets, they are more dependent on direct and other investment inflows, with the latter comprised largely of loan instruments. In contrast to this, EMEs have securities markets integrated into global financial markets, so portfolio investment inflows are more significant.



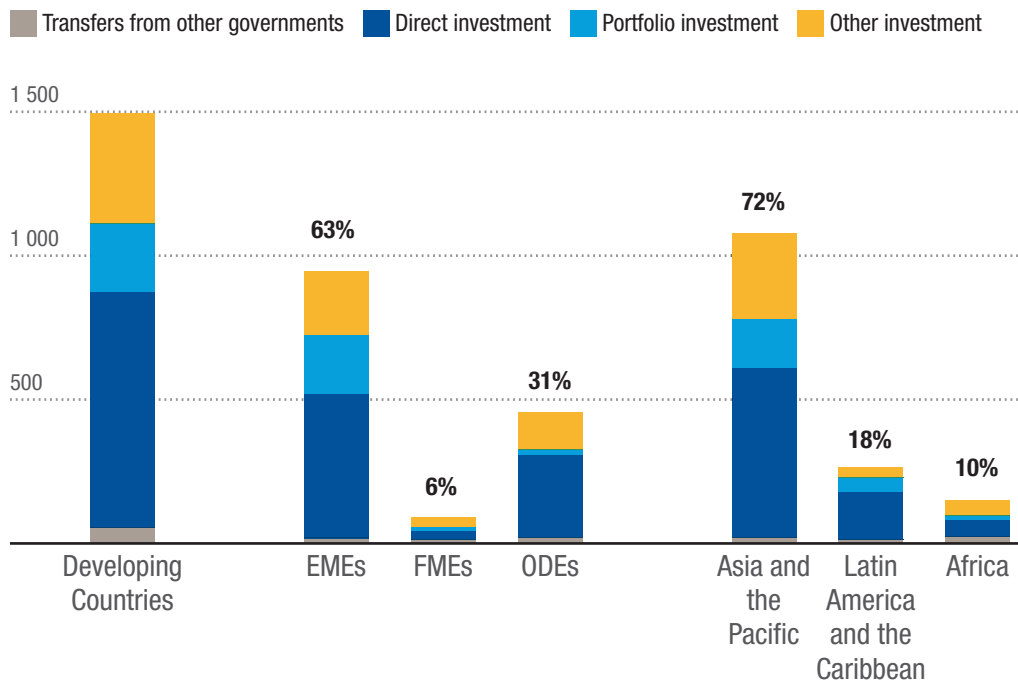


Figure 6

Some developing country groups receive more than others

Scale and composition of average external inflows to developing country groups from 2014 to 2024

(Billions of dollars)



Source: UNCTAD calculations based on IMF data.

Note: Percentages indicate the share of that group of total non-resident flows to developing countries.

Regionally, transfers from other governments were more important for Africa than for Asia and the Pacific but were also higher for developed countries than for developing ones. Direct investment was a larger source of inflows to Latin America and the Caribbean than to Africa. Conversely, African countries received a comparatively higher share of inflows as other investment than both Asia and the Pacific and Latin America and the Caribbean.

The aggregation of annual inflows of investments, plus any valuation adjustments, less any withdrawals or disinvestments, gives rise to a stock of external liabilities, which can be expressed in terms of their functional categories, or their associated type of financial instrument (Figure 8).

For developing countries, this stock was valued at \$30.7 trillion in 2024, with 52 per cent comprised of direct investment, 21 per cent of portfolio investment and the remaining 27 per cent of other investment. In instrument terms, 56 per cent was in the form of equity and 44 per cent was debt.

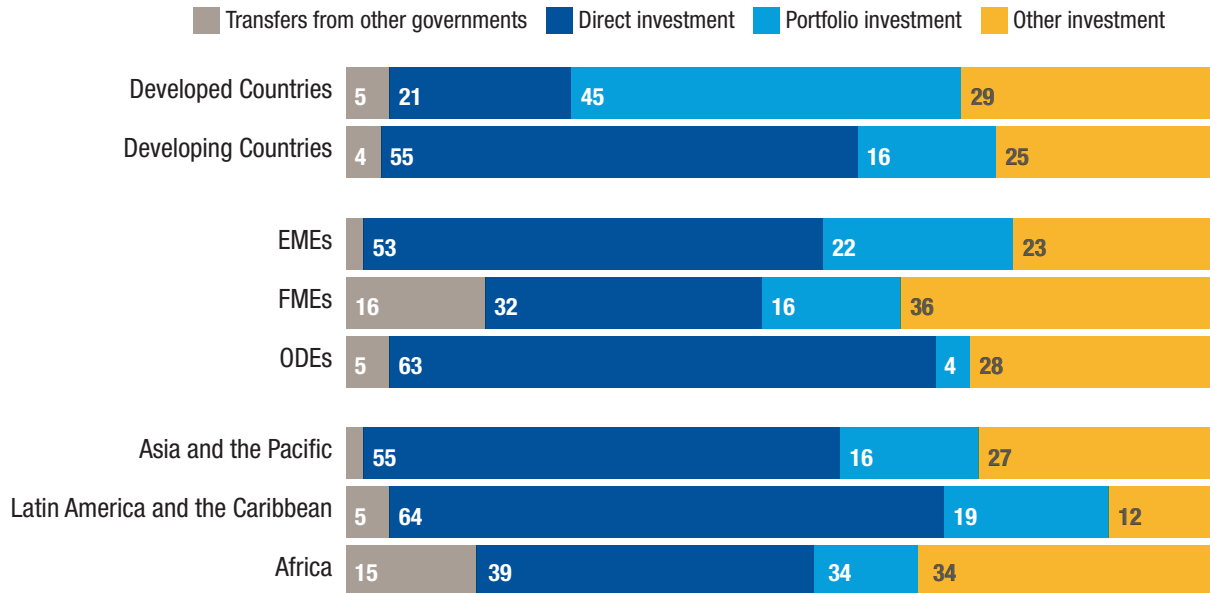




Figure 7

Direct investment has mattered more to developing countries

Average composition of external non-resident financial flows to countries from 2014 to 2024
(Per cent)



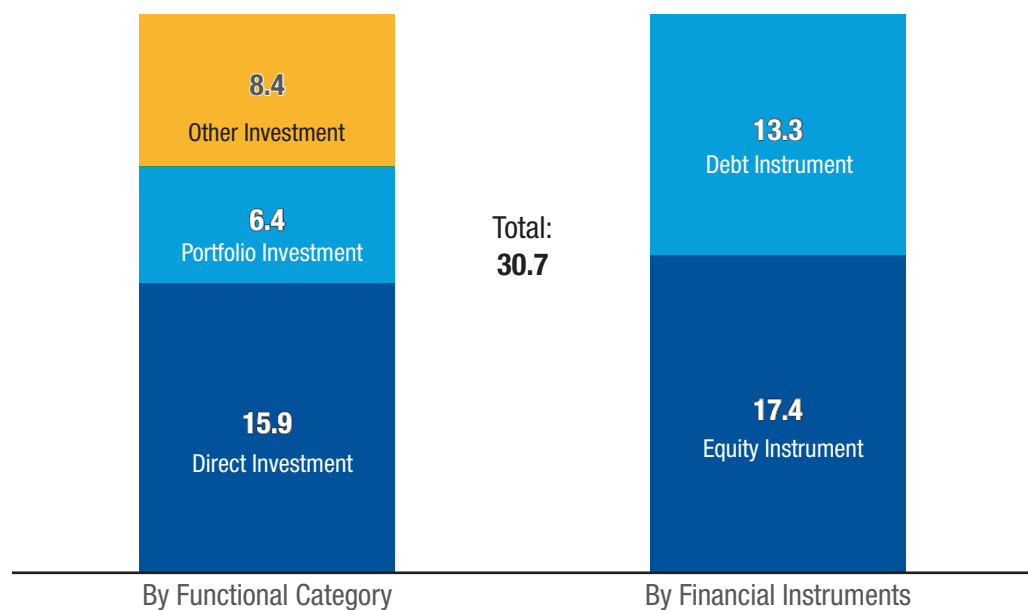
Source: UNCTAD calculations based on IMF data.



Figure 8

Financial flows give rise to stocks of liabilities

The composition of accumulated stocks of external liabilities of developing countries in 2024
(Trillions of dollars)



Source: UNCTAD calculations based on IMF data.



The servicing of these stocks through the payment of profits, royalties and interest gives rise to outflows or debits in the primary income account. In 2024, the total investment returns received by non-residents on their investments in developing countries amounted to \$1'070 billion, of which 64 per cent consisted of profit and royalty returns on equity and the remaining 36 per cent was interest on debt instruments.

Primary income outflows from developing countries to service their external liabilities are matched in scale by the investment returns received by non-residents (Figure 9).

2.3 Costs of servicing the accumulated stocks of foreign liabilities

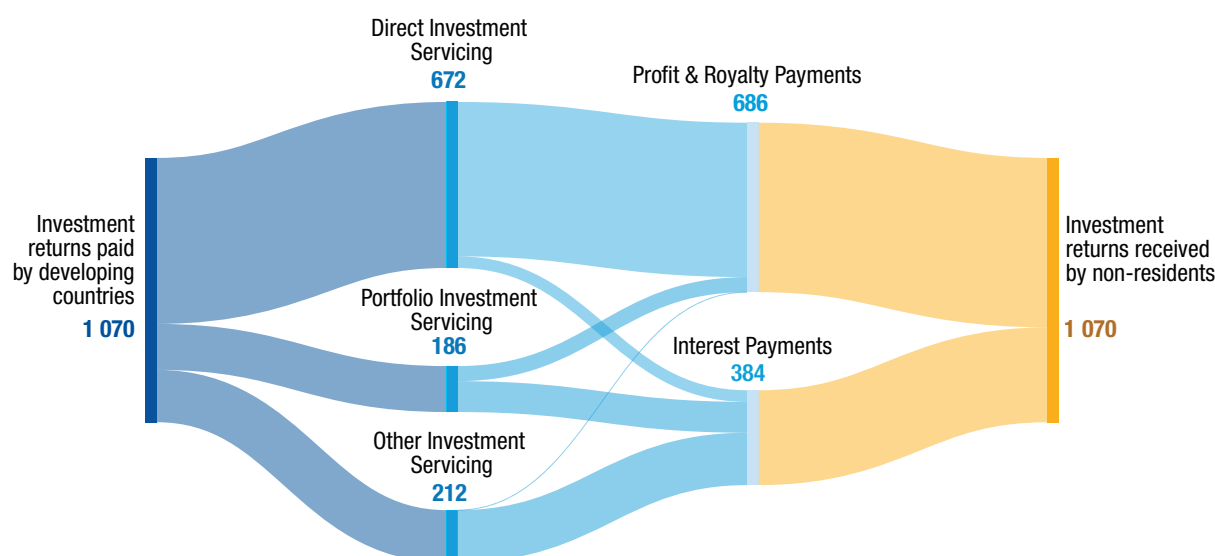
The costs of servicing the different functional categories of foreign liabilities (the primary income outflows or debits) relative to their corresponding stock values⁵ reflect both the average costs paid by the recipient countries on their external liabilities and the average returns earned by non-resident investors on their investments in developing countries.

The costs paid by recipient countries to service their external liabilities also represent the returns earned by non-resident investors



Figure 9
Servicing costs paid and returns received

Primary income payments from developing countries in 2024
(Billions of dollars)



Source: UNCTAD calculations based on IMF data.

⁵ Since stocks are valued at the end of each year, but servicing payments are made throughout the year, the average stock value was used – calculated as the average of the stock of the previous year (t-1) and the current year (t).



Figure 10 compares the median costs paid by developed countries and developing countries to service their direct investment, portfolio investment, and other investment liabilities. It also indicates the inter-quartile range – which reflects the spread of the middle 50 per cent of observations of that country group.

With regards to **direct investment**, the median costs of developed and developing countries converged in the post-COVID-19 period but were still – on average – 1.5 percentage points higher in developing countries between 2014 and 2024.

It is notable that the inter-quartile spread of direct investment for developing countries was significantly larger than for developed countries. In 2024, 24 developing countries were paying average returns of more than 10 per cent, 10 countries were paying more than 20 per cent and 4 countries were paying more than 33 per cent, suggesting high degrees of perceived risk.

Between 2014 and 2024, the median costs of servicing non-resident **portfolio investment** in developing countries were more than double those of developed countries – averaging 5.2 per cent a year, compared with 2.5 per cent a year in developed countries. They were also significantly more dispersed around the median with an inter-quartile range that averaged 3.5 percentage points over this period, compared with just 1.2 percentage points in the case of developed countries. Since this category includes bond issuance to private and commercial investors, the differential is, in large part, a reflection of the risk premium paid by developing countries. This is examined in more detail in Section 4.

The median cost of servicing **other investment** – which is comprised largely of loan instruments and trade credits – converged in 2023 but began to diverge again in 2024 as interest costs rose more sharply in developing countries. However, despite the concessional nature of much bilateral and multilateral lending to developing countries, these costs were – on average – still 0.6 percentage points higher than in developed countries between 2014 and 2024 and were also significantly more dispersed around the median. This dispersion reflects the fact that most ODEs have relatively greater access to concessional loans from bilateral and multilateral creditors, while FMEs and EMEs are largely forced to borrow at market rates.

FMEs incurred higher average costs in servicing all categories, but as EMEs rely almost exclusively on commercial loans their median cost of other investment converged with that of FMEs in 2023 and surpassed them in 2024 (Figure 12). By contrast, the low levels of integration of ODEs, and their resulting dependence on multilateral and bilateral lending – much of which was concessional – resulted in significantly lower costs on other investment liabilities for this group.

Regionally, there was a post-pandemic convergence in the costs of servicing direct investment liabilities, but these began to diverge in 2024 (Figure 13). The costs of other investments rose sharply in 2022 and 2023 but levelled off in Africa and Latin America and the Caribbean and increased more modestly in Asia and the Pacific in 2024.

Frontier market
economies
incurred
higher costs
in servicing
their direct
and portfolio
investment
liabilities

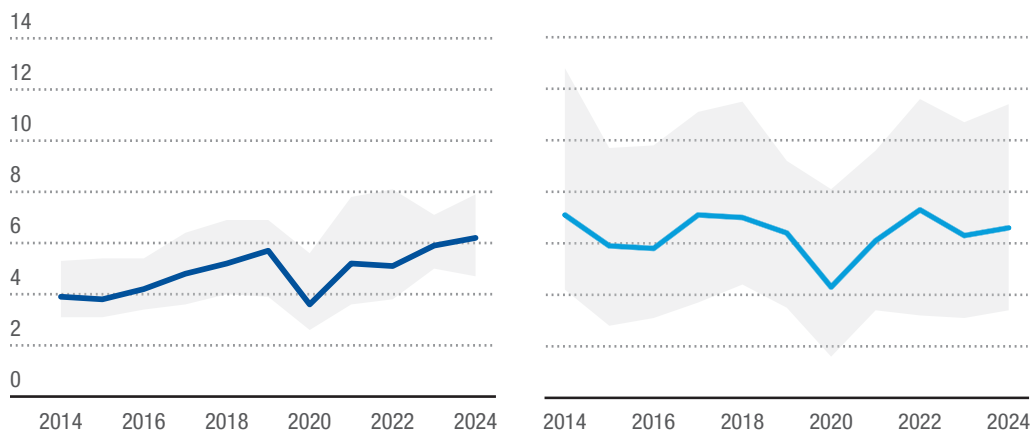


Figure 10
Comparative costs of servicing external liabilities

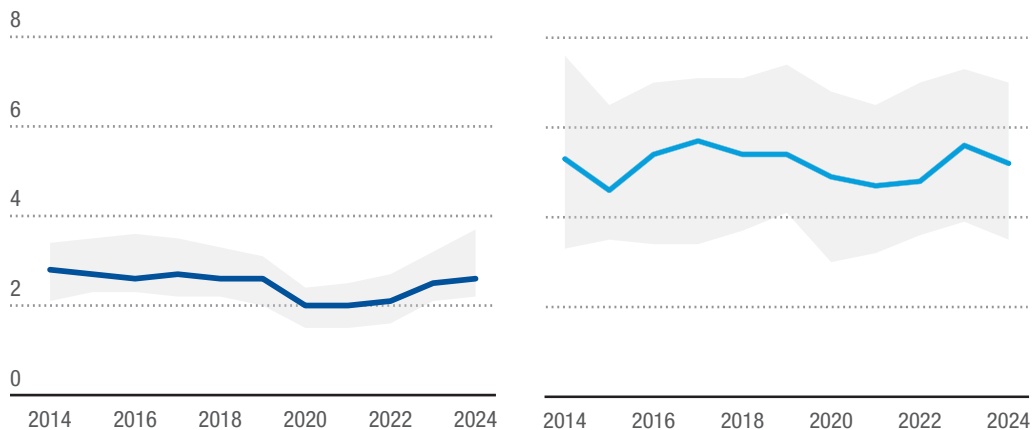
Median annual cost
(Per cent per annum)

— Developed countries — Developing countries

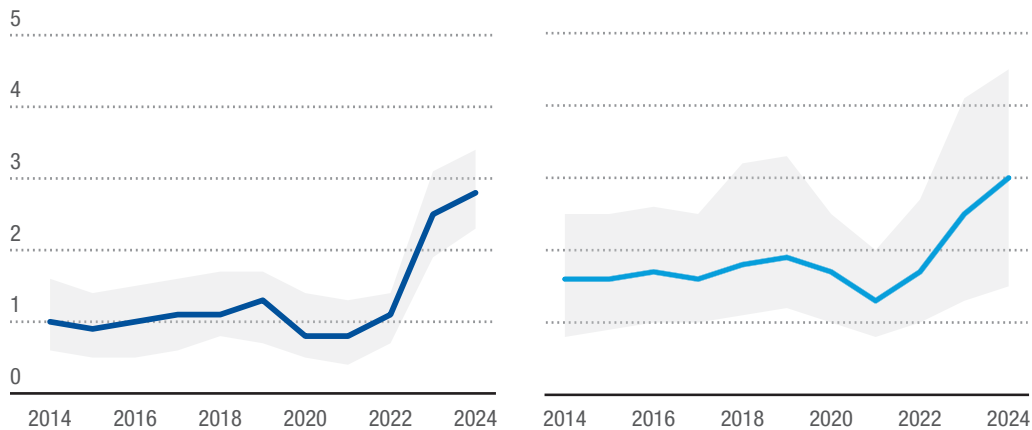
Direct Investment



Portfolio Investment



Other Investment



Source: UNCTAD calculations based on IMF data.

Note: Shaded area reflects interquartile range.

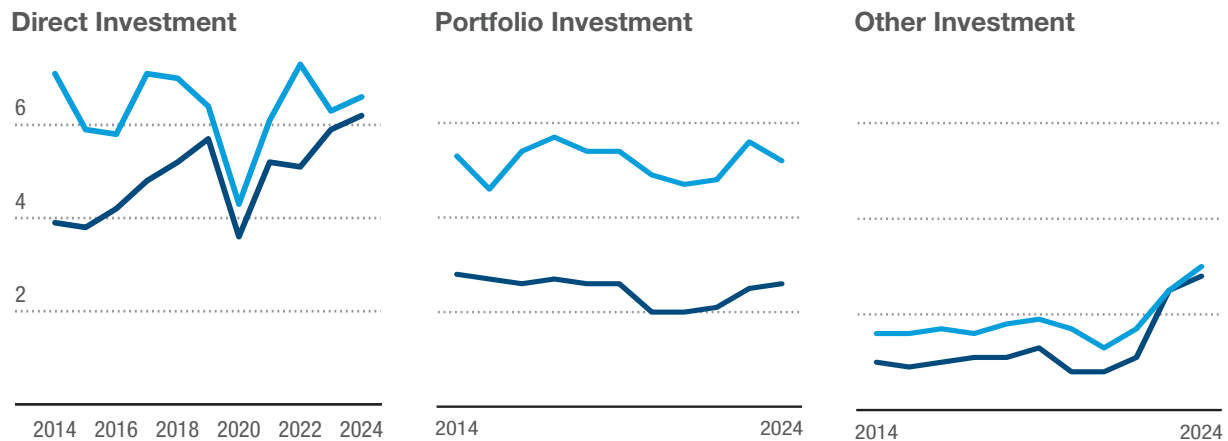


Figure 11

Different costs in developing and developed countries

Median costs of servicing direct, portfolio and other investment in developed and developing countries
(Per cent per annum)

— Developed countries — Developing countries



Source: UNCTAD calculations based on IMF data.

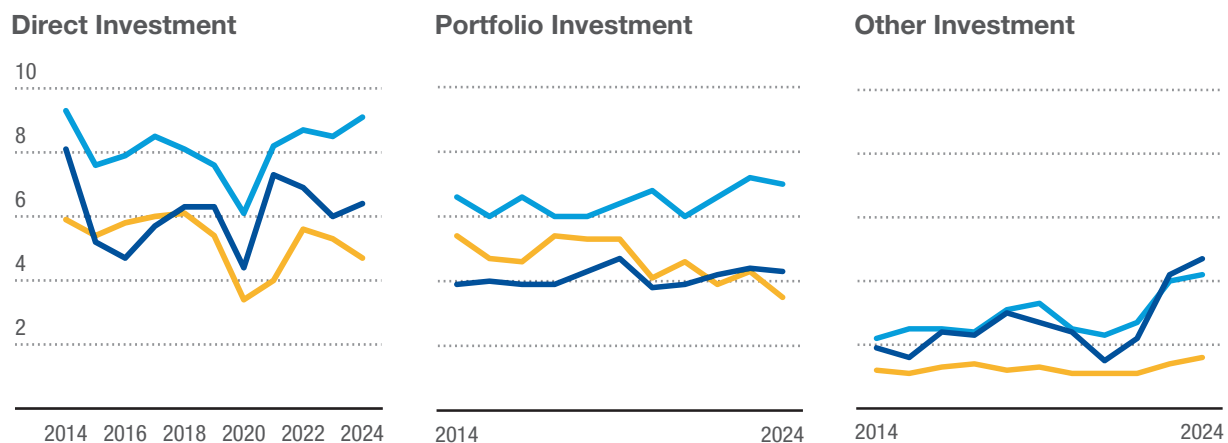


Figure 12

Costs differ depending on levels of financial integration

Comparative median annual costs of servicing direct, portfolio and other investment in EMEs, FMEs and ODEs
(Per cent per annum)

— EMEs — FMEs — ODEs



Source: UNCTAD calculations based on IMF data.

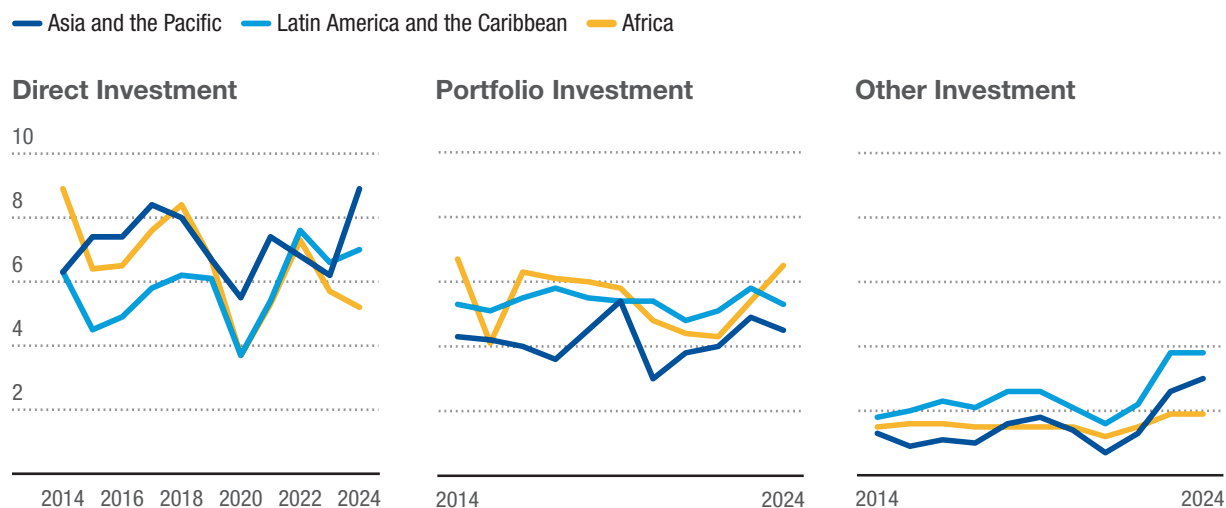




Figure 13

There are also regional variations in costs

Comparative median costs of direct, portfolio and other investment in developing regions
(Per cent per annum)



Source: UNCTAD calculations based on IMF data.

2.4 Costs of equity and debt financing instruments

When viewed through the lens of their type of instrument, rather than their functional category, equity and debt have followed different trajectories. Whereas the stock of equity increased faster than the cost between 2014 and 2024, debt servicing costs increased by more than two-and-a-half times faster than the stock of debt liabilities (Figure 14).

Given the scale and importance of equity liabilities – particularly to less financially-integrated developing economies that have more limited access to other forms of financing – and the fact that their median servicing costs are higher than those associated with external debt, it is important that recipient countries optimize the non-financial benefits of equity flows, including integration into global value chains and skills and technology transfer.⁶

It is important that recipient countries optimize the non-financial benefits of equity flows

⁶ The Geneva Consensus (UNCTAD, 2025e) para. 40 notes that “Ensuring that all countries benefit from technological advancements requires a bold and coordinated effort, as well as a strategic and holistic approach at the national and international levels. To achieve this, international cooperation can support national action through capacity-building and effective policy frameworks that bridge all forms of digital divides, enhanced investment in infrastructure, skills development and technology transfer on mutually agreed terms.”





Figure 14

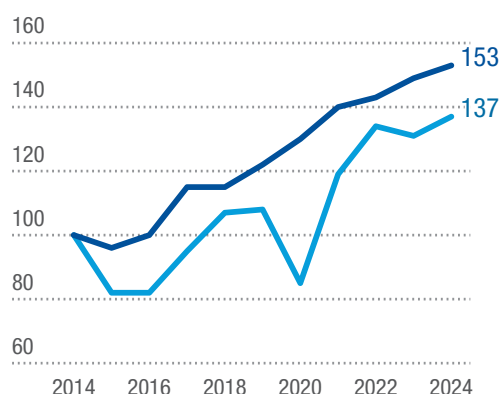
Growth in servicing costs outpaced debt stocks, but not equity stocks

Comparative trends in the stocks of external equity and debt liabilities relative to their associated servicing costs

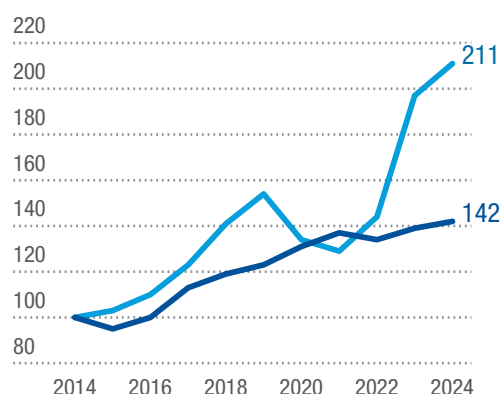
(Index: 2014=100)

— Stock of liabilities — Cost of servicing stock of liabilities

Equity Liabilities



Debt Liabilities



Source: UNCTAD calculations based on IMF data.

Changes in interest costs on external debt directly and indirectly impact government borrowing costs in developing countries

The significant increase in the cost of external debt financing is more problematic for the many developing countries that have low domestic savings rates, shallow domestic capital markets and a reliance on the public sector to undertake the necessary SDG-related investments.

Relatively higher external borrowing costs for developing countries translate into higher borrowing costs for their public sectors (Figure 15). In 2024, interest costs on external public and publicly guaranteed (PPG) debt accounted for a median 59 per cent of the total external interest costs of developing countries.

At the same time, external PPG interest costs accounted for 35 per cent of total general government interest costs in developing countries – so changes in interest rates on external debt have a material and direct impact on the interest costs of government debt in these countries. There are also indirect impacts as domestic borrowing costs are often cyclically synchronized with external borrowing costs, and private sector borrowing costs are linked to public sector borrowing costs.



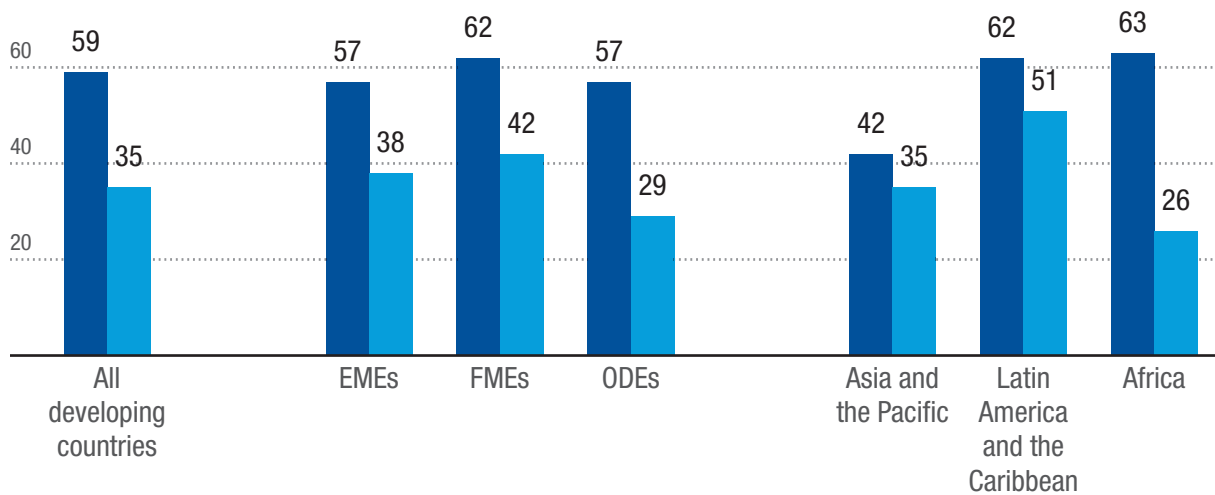


Figure 15

External interest costs impact public sector debt service costs

Median share of total external and public sector interest costs in 2024
(Per cent)

■ External PPG interest as share of total external interest
■ External PPG interest as share of general government interest



Source: UNCTAD calculations based on IMF and World Bank data.

The preceding analysis indicates debt dynamics are the principal contributor to the significant volatility in non-resident financial flows to developing countries, and that – unlike equity instruments –

interest costs on debt have risen markedly faster than the underlying stock. These higher costs also directly and indirectly impact public sector borrowing costs.





3

The development impact of high interest costs

Section Summary

- ▶ Interest costs have been growing much faster than repayment capacity in developing countries, signalling a deterioration in their public sector debt sustainability and putting a squeeze on the financial resources available to pursue development agendas. Between 2014 and 2024, government interest payments increased by 102 per cent in these countries, while revenues rose just 39 per cent.
- ▶ Seventy-three per cent of developing countries experienced reduced fiscal space between 2018 and 2024, with rising interest costs crowding out spending on development priorities and the SDGs.
- ▶ A counter-factual experiment reveals that if 94 developing countries could borrow at the same rates as developed countries, they would collectively save around \$500 billion per year in interest payments.
- ▶ Each year, these savings could finance the construction of around 375'000 schools, or 1.3 million primary health clinics, or over 65'000 kilometres of dual carriage highways in rural areas. They could also cover the costs of feeding around 1.6 billion children a minimum dietary diversity diet, or fund over 920 gigawatts of installed solar capacity in these countries.



Between 2014 and 2024 interest payments on public debt in developing countries increased 2.6 times faster than government revenues, indicating a deterioration in public sector debt sustainability (Figure 16).

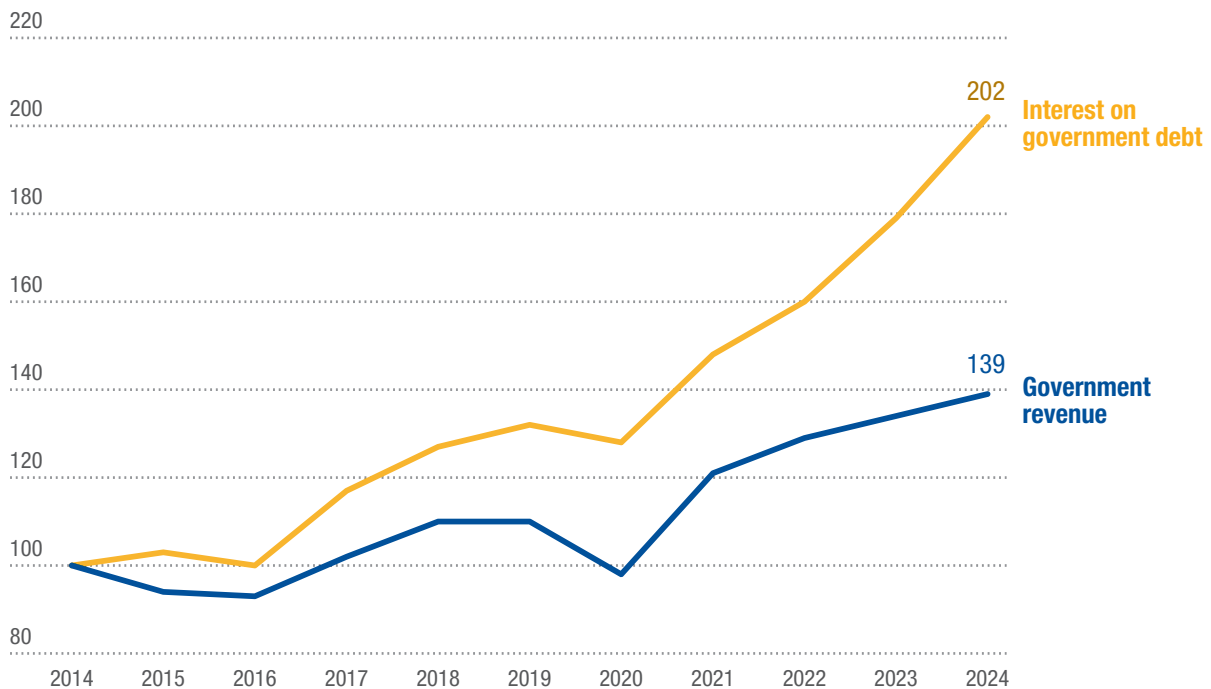
The need to devote an increasing share of government revenues to interest payments reduces fiscal space and crowds out other

public spending, including that required to achieve the SDG targets. Seventy-three per cent of developing countries experienced a decline in fiscal space between 2018 and 2024, meaning they could allocate less finances than before to their developmental priorities (Figure 17).

Fiscal space declined in 73 per cent of developing countries between 2018 and 2024, constraining development spending

Figure 16 Interest costs outpaced the capacity to service

Trends in general government interest costs and government revenue in developing countries
(Index: 2014=100)



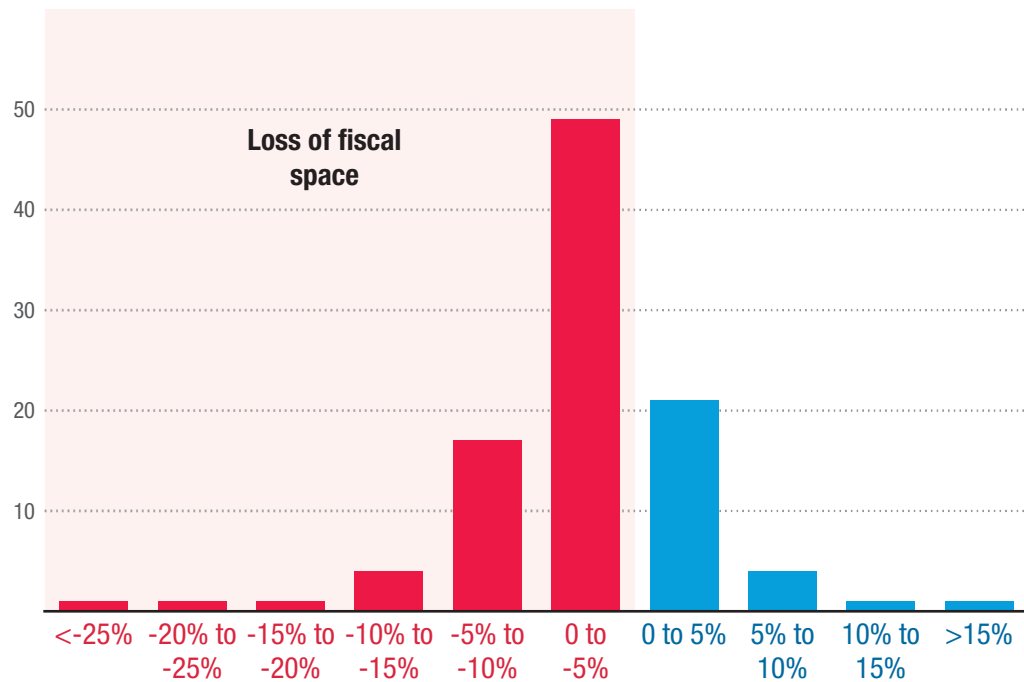
Source: UNCTAD calculations based on IMF data.



Figure 17

Most developing countries have lost fiscal space due to rising interest costs

Share of developing countries that have lost (-) or gained (+) fiscal space, measured as interest payments as a share of government revenue (Per cent)



Source: UNCTAD calculations based on IMF data.





Box 2

The development impact of lowering the cost of borrowing

What are the implications of developing countries being able to finance their public debt at interest rates comparable to those paid by a group of developed nations comprising the United States, the countries of the Eurozone, the United Kingdom and Japan?

The weighted average effective rate of interest paid by this group of countries – calculated as total interest payments divided by the stock of general government debt – stood at 2.2 per cent in 2024. By contrast, around three quarters of developing countries (94 countries) faced higher effective interest rates, averaging 5.5 per cent a year. If the public sectors in these countries could borrow at an average cost of 2.2 per cent a year, they could collectively generate annual interest savings of around \$500 billion. The remaining quarter of developing countries already enjoyed similar or lower average interest rates than the 2.2 per cent average for the developed country group.

A recent debt swap in Côte d'Ivoire – facilitated by a World Bank policy-based guarantee – illustrates the potential development impact of lower borrowing costs (World Bank, 2024). The swap is expected to generate net present value savings of €60 million, of which €40 million is earmarked for the construction of thirty schools serving approximately 30,000 students. This implies an average cost of \$1.3 million per school. Assuming similar unit costs across the 94 developing countries, \$500 billion in annual interest savings could finance the construction of around 375,000 additional schools each year, serving approximately 375 million students.

What else could \$500 billion buy?

Table 1
Illustrative alternative uses of interest savings

Item	Illustrative Cost per Unit*	Additional Units that Could be Financed
Minimum dietary diversity feeding scheme	\$305/child/year	1'634'383'689 children/year
Dual lane rural highway	\$7.6 million/km	65'590 km/year
Primary health care centre	\$385'000/centre	1'294'771 centres/year
High speed railway track	\$21 million/km	23'737 km/year
Installed solar electricity generation capacity	\$540'000/megawatt	923'124 megawatts/year

Note: *Costs can vary widely, depending on factors such as location and standards. The costs selected are on the higher end of available estimates and are meant to be illustrative.

These findings highlight that the differential in borrowing costs between developing and developed countries is not merely a financial statistic. It represents a significant constraint on the fiscal capacity and development potential of developing countries that crowds out vital long-term public investment and threatens debt sustainability.

The high borrowing costs facing developing countries are not merely a financial statistic. They impede their development





External sovereign debt financing

Section Summary

- ▶ External debt financing takes place through both debt securities and loans. While international bond markets have become increasingly important for EMEs, loans from multilateral and bilateral lenders remain the primary source for many FMEs and ODEs.
- ▶ Despite favourable global liquidity conditions following the Global Financial Crisis around half of all developing countries are still lacking significant access to international financial markets. ODEs and African economies depend heavily on loans, particularly from multilateral and bilateral creditors, with over half of ODE external debt owed to multilateral institutions. Since 1990, Africa accounted for only 14 per cent of total bond issuances, and only 17 African countries accessed global markets over the past decade.
- ▶ A series of global shocks between 2020 and 2024 led to a sharp tightening of financing conditions. Sovereign bond yields surged, issuance volumes declined, and interest rates on external loans reached record levels, especially for FMEs and African countries. Interest rates on multilateral loans also surged to new highs.
- ▶ In 2025, borrowing conditions for sovereign bonds improved slightly, with average yields declining to 5.4 per cent from a peak of 7.3 per cent in 2023. While the spreads for developing countries have narrowed, the borrowing premium remains, averaging 1.9 percentage points.

- ▶ However, challenges on international bond markets persist: bond maturities have shortened and yields remain above pre-pandemic levels, complicating refinancing and new issuances.
- ▶ External loan costs reached record interest rates averaging 4.9 per cent in 2024, driven mainly by private lending and non-concessional multilateral financing, while maturities remained relatively stable, reflecting the role of multilateral lenders in providing long-term finance
- ▶ Even as monetary policy in advanced economies has begun to ease, borrowing contracted during the tightening phase is locking in higher costs, constraining fiscal space and risking the crowding out of development spending in the years ahead.

External sovereign debt financing takes place through two main instruments: debt securities and loans. Debt securities include instruments that entitle investors to a fixed schedule of interest payments and repayment of principal, such as government or corporate bonds. Loans are a financial arrangement by two or more parties that involve interest payments and repayment of the principal amount according to an agreed schedule. In contrast to securities, loans are not traded.

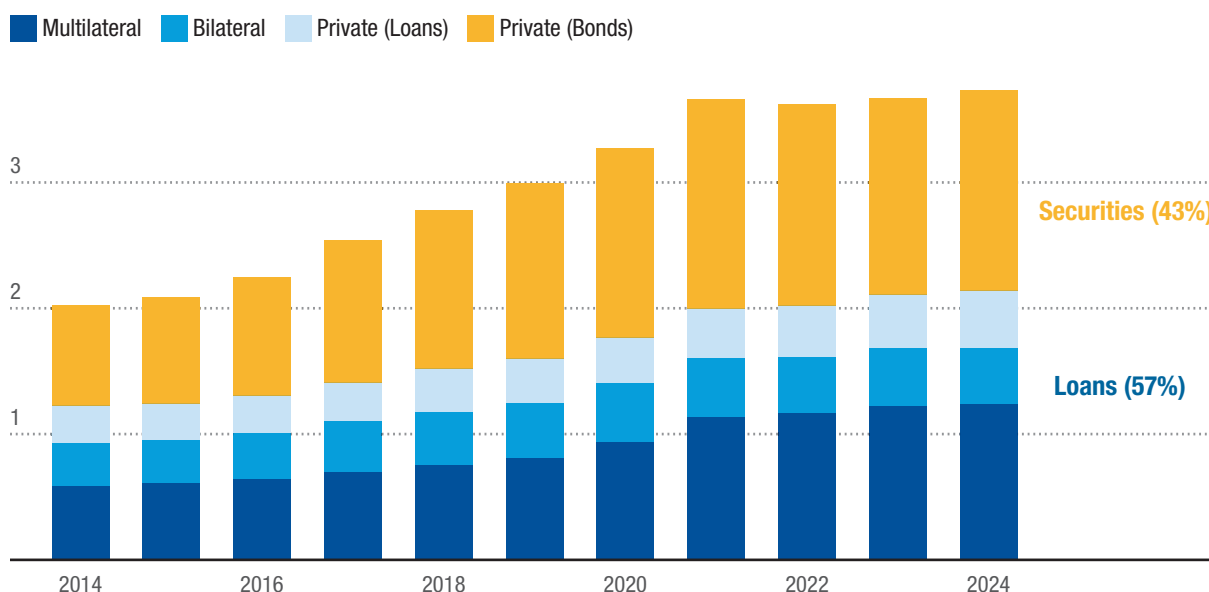
Overall, loans remain the most important source of external debt financing for developing countries, particularly those provided by multilateral lenders (Figure 18). In 2024, 57 per cent of outstanding PPG debt was in the form of loans, while the remaining 43 per cent was owed to international bondholders. This section analyses external financing conditions, focusing on sovereign debt – central government obligations – for debt securities, and on PPG debt, which includes borrowing by state-owned enterprises and other publicly guaranteed entities, for loans.

External sovereign debt financing is structured around two main instruments: bonds and loans



Figure 18
Bonds and multilateral loans dominate external debt financing

Composition of external PPG debt in developing countries
(Trillions of dollars)



Source: UNCTAD calculations based on World Bank data.

Note: Multilateral loans include the use of IMF credits and SDR allocations. Private loans include credits provided by corporations and banks.



4.1 Debt securities

Debt securities have become an increasingly important source of external financing for developing countries, with their share of external PPG debt almost doubling since 2000. Although non-resident creditors have expanded their holdings of local-currency bonds, external bond financing in many developing countries remains largely foreign-currency denominated (IMF, 2025a)⁷. Borrowing in international financial markets through foreign-currency denominated bonds has allowed developing countries, which are sometimes unable to issue bonds in their own currency, to access deeper and more liquid capital pools. Despite the considerable exchange rate risks involved, issuing such bonds can allow governments to borrow at more favourable conditions than in domestic markets.

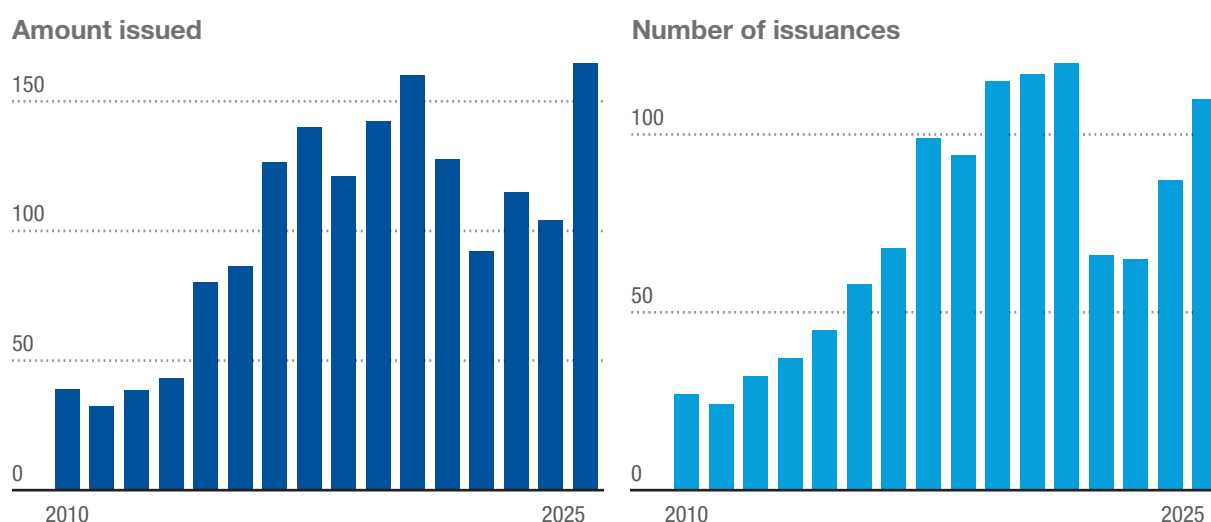
Following the Global Financial Crisis of 2008, many developing countries expanded their participation in international markets, taking

advantage of a low global interest rate environment and strong investor appetite for higher-yielding assets. During this period, the share of bonds in external debt financing rose by nearly half, accounting for almost 50 per cent of external PPG debt in 2021. Foreign currency issuance – denominated in United States dollars, euros and Japanese yen – reached its temporary peak in 2020, when developing countries issued fixed coupon sovereign bonds worth \$160 billion. After a series of successive shocks, however, including the COVID-19 pandemic and a global monetary tightening, capital inflows fell and financing conditions deteriorated, leading to a sharp decline in bond issuance.

In 2024, external issuance started to regain momentum and in 2025 developing countries issued a record amount of fixed coupon bonds worth \$164 billion (Figure 19)⁸. While the number of transactions remained below previous annual records, issuances were larger on average.

Figure 19
Sovereign bond issuance rebounded in 2025

Annual value (Billions of dollars) and number of issuances



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed-coupon bonds issued by developing countries since 2010 in dollars, euros, and yen available through LSEG Data & Analytics.

⁷ Due to limited data on the residency of sovereign bondholders, the debt securities analysis focuses on foreign-currency-denominated bonds traded in the secondary market, assuming that the majority are held by non-residents.

⁸ If floating coupon bonds are included, 2020 remains the year with the largest issuance volume.

The share of bonds in external sovereign debt rose by nearly half after the Global Financial Crisis, as favourable conditions enabled access to international markets

Although financial integration has been progressing in recent decades, not all developing countries enjoy equal access to international financial markets. Since 1990, around half of the developing countries analysed issued at least one fixed coupon bond denominated in dollars, euros, or yen. Out of these, the bulk of issuance was in EMEs, that have been integrated into international financial markets for longer and more extensively. Since 1990, EMEs have accounted for 87 per cent of sovereign bond issuances by value (Figure 20). By contrast, FMEs largely entered capital markets following the Global Financial Crisis and accounted for only around 12 per cent of issuance volume. ODEs on the other hand are countries with extremely limited, or no access to international bond markets, relying mostly on loans for external

financing. As a result, ODEs accounted for less than 1 per cent of the total issuance volumes of developing countries since 1990.

Issuance is also highly unequal across regions, with most developing countries' foreign currency bonds having been issued in Asia and the Pacific and in Latin America and the Caribbean (Figure 20). Only 14 per cent of issuances originated in Africa since 1990, accounting for just 11 per cent of total issuance value. Out of 54 African countries, only 17 tapped into international bond markets over the past decade. In 2025, issuance volumes rebounded across all developing regions following their trough in 2022. While Africa trailed behind, countries in Latin America and the Caribbean experienced their strongest year ever in terms of issuance value.

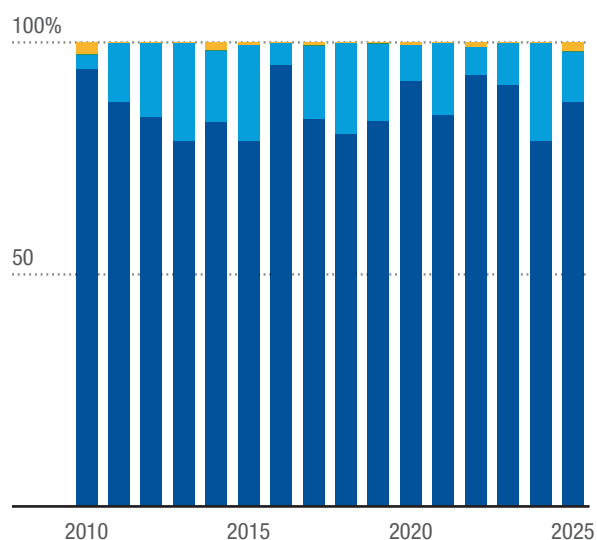
Around half of all developing countries remain without significant access to global financial markets



Figure 20
Access to international bond markets remains uneven

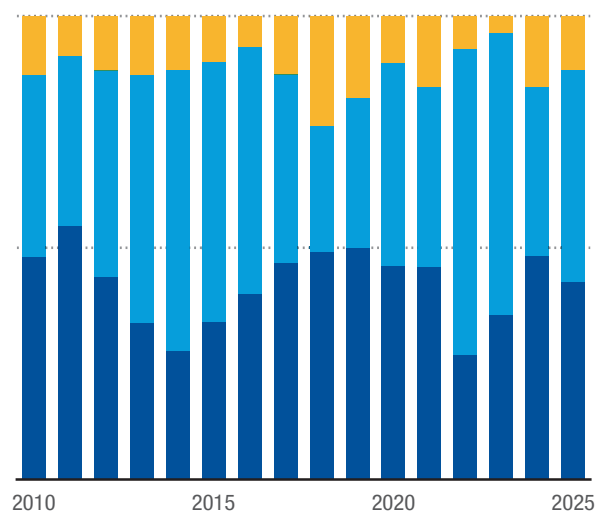
Share of issuance value by EME, FME and ODE
(Per cent)

■ EME ■ FME ■ ODE



Share of issuance value by developing regions
(Per cent)

■ Asia and the Pacific ■ Latin America and the Caribbean ■ Africa



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed-coupon bonds issued by developing countries since 2010 in dollars, euros, and yen available through LSEG Data & Analytics.



Frontier markets and African countries face significantly higher volatility in borrowing conditions

Yields and spreads

The prices at which developing countries can borrow – as indicated by secondary market yields – reflect the evolving cost of debt in international bond markets. Starting in 2010, increasing investor risk appetite and low global interest rates generated large-scale portfolio inflows into developing countries, lowering average yields, and dampening market volatility (Figure 21). Between 2015 and 2020, average yields in developing countries stood at around 5 per cent. These conditions enabled many developing countries to issue foreign currency bonds at relatively favourable rates, albeit still higher than in developed markets.

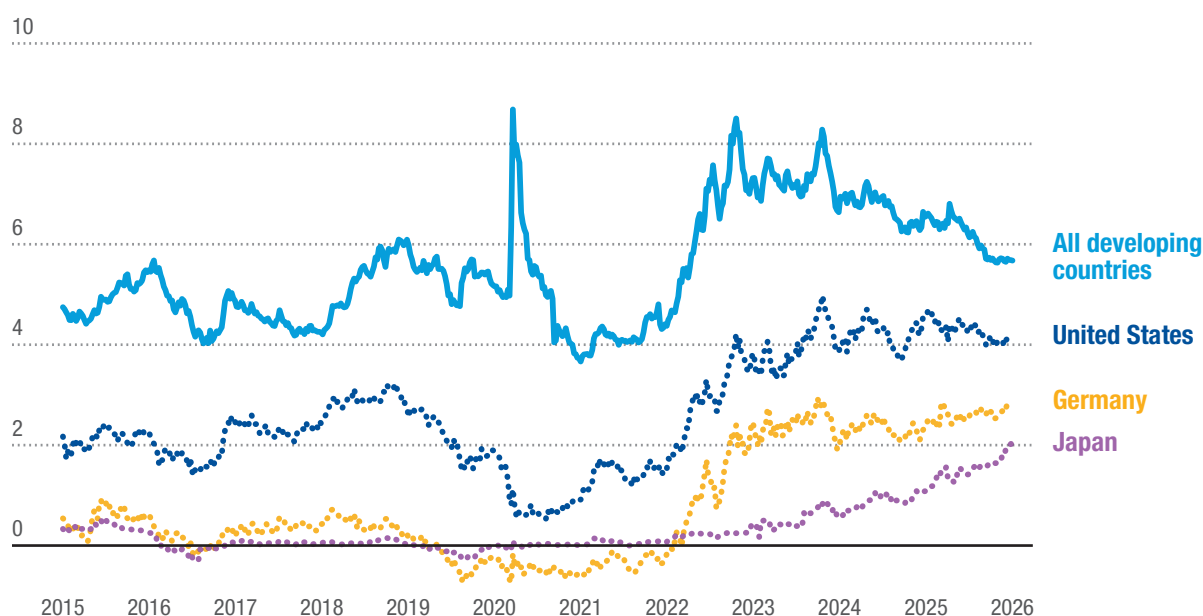
Following the COVID-19 pandemic shock and subsequent global monetary tightening, yields in developing countries surged to an average of 6.8 per cent between 2022 and 2024, as capital flows receded and global investors' risk appetite waned. The increase in borrowing costs was especially dramatic for FMEs and African countries, where average yields nearly doubled to 12 per cent and 11 per cent respectively (Figure 22). Following this deterioration of market conditions, new bond issuance reached a five-year low, falling by nearly 75 per cent in Africa and in FMEs.



Figure 21

Global shocks have left yields elevated in developing countries

Average yield-to-maturity of developing countries vis-à-vis 10 year benchmarks
(Per cent per annum)



Source: UNCTAD calculations based on LSEG Data & Analytics

Note: Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Bonds are weighted by market value and excluded within one year of maturity.



Borrowing conditions improved in 2024 and 2025, with average yields in developing countries declining from their peak of 7.3 per cent in 2023 to 5.7 per cent in 2025. Fuelled by a loosening of monetary policy stances from the Federal Reserve and the European Central Bank as well as concerns over fiscal sustainability and heightened policy uncertainty in developed economies, investors started returning to developing country assets. Despite this however, average yields remain elevated and above their pre-2020 levels. This creates challenges for refinancing, as many bonds issued before the pandemic – when

global interest rates were exceptionally low – begin to approach maturity and need to be rolled over (IMF, 2025a).

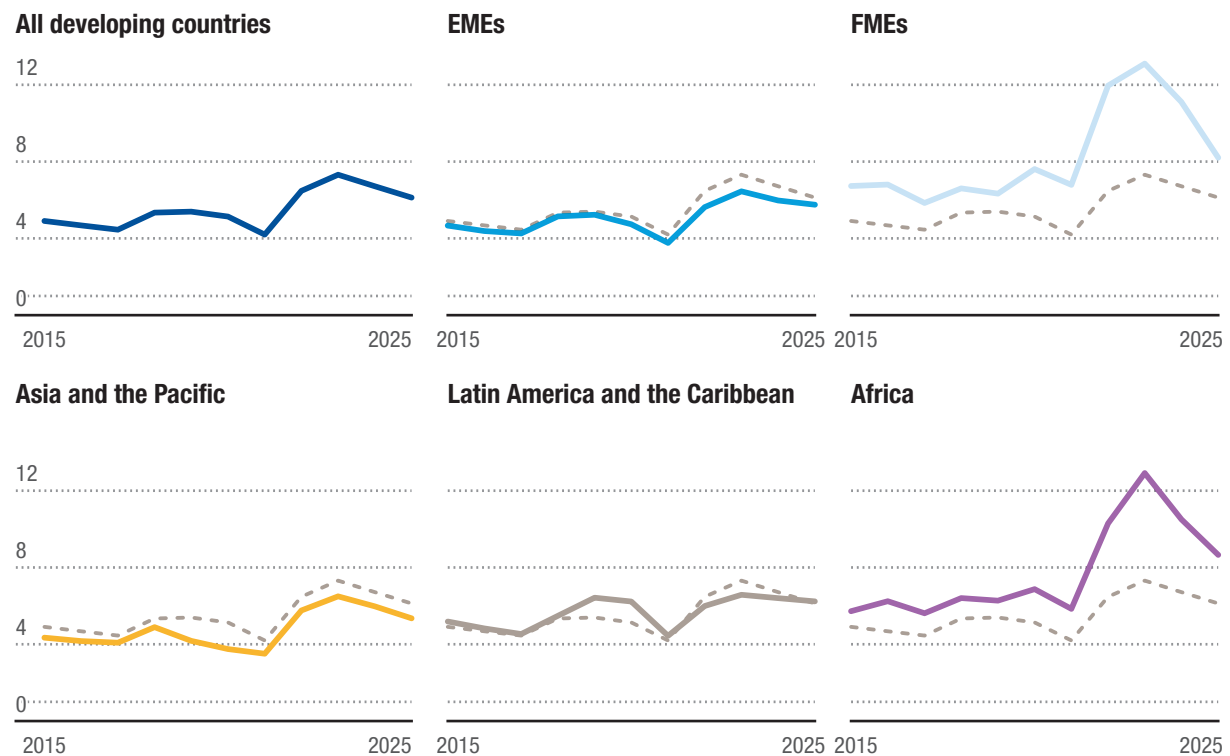
Sovereign spreads – the premium demanded by investors over safe assets such as United States Treasuries, German Bunds, and Japanese government bonds – also narrowed substantially during 2024 and 2025 (Figure 23). In 2025 the average spread of developing country sovereign bonds relative to benchmark rates fell to around 190 basis points, implying that, on average, developing countries paid about 1.9 percentage points more to borrow in foreign currency than developed countries.

Spreads have narrowed – but the borrowing premium remains

Figure 22
Borrowing conditions in FMEs and Africa remained tight at the end of 2025

Yearly average yield-to-maturity of developing country bonds
(Per cent per annum)

– – All developing countries



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Bonds are weighted by market value and excluded within one year of maturity.



Figure 23
Sovereign spreads have narrowed to historic lows

Yearly average spreads of developing country bonds relative to the benchmark rates
(Basis points)



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Bonds are weighted by market value and excluded within one year of maturity. Maturities are matched to the 2-, 3-, 5-, 7-, 10-, 20- and 30 year benchmark rates of the United States, Germany and Japan



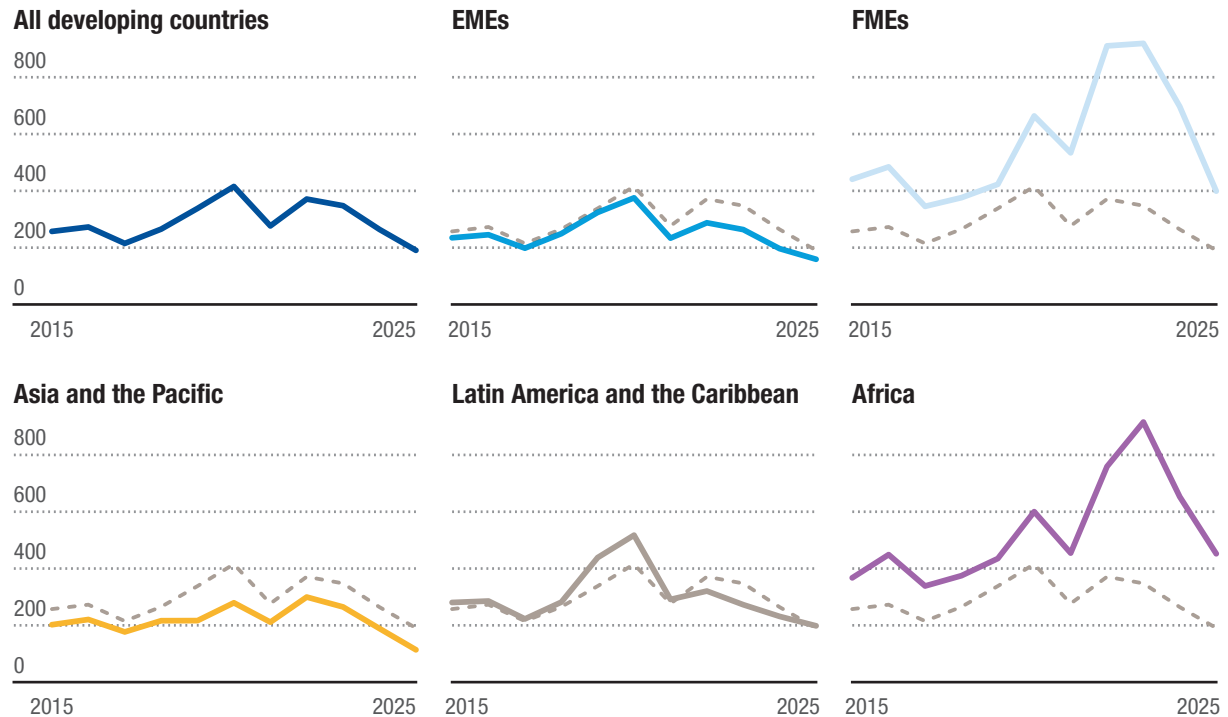


Figure 24

Borrowing premia remained significant in some countries

Yearly average spreads of developing country bonds relative to the benchmark rates
(Basis points)

-- All developing countries



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Bonds are weighted by market value and excluded within one year of maturity. Maturities are matched to the 2-, 3-, 5-, 7-, 10-, 20- and 30 year benchmark rates of the United States, Germany and Japan.



Despite easing financing conditions, coupon rates on new bond issuances remain high

By the end of 2025, spreads had fallen further to a low of 150 basis points, primarily reflecting rising bond yields in developed countries.

While FMEs and African countries still faced higher borrowing costs than other developing countries, their spreads decreased significantly, falling by more than half between 2023 and 2025, to about 400 and 450 basis points, respectively (Figure 24). By contrast, countries in Asia and the Pacific faced borrowing differentials of just 113 basis points relative to the benchmark rates.

Coupon rates and maturities

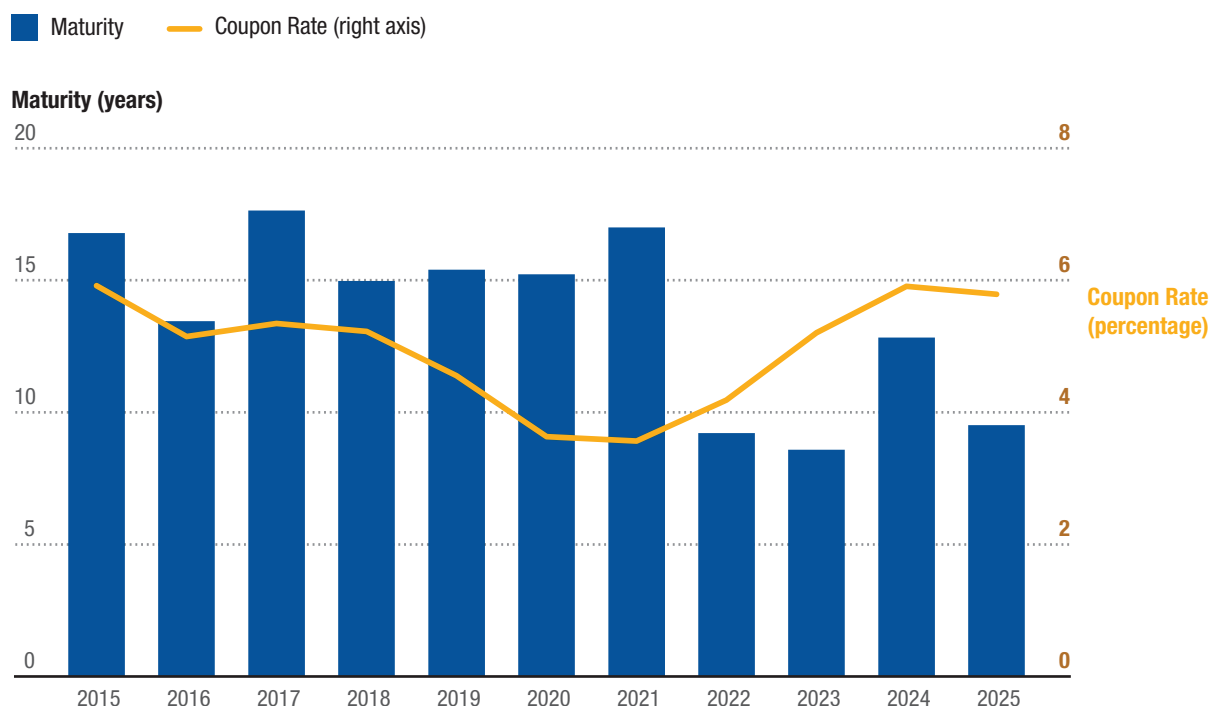
Although borrowing conditions improved, coupon rates on new bond issues remained high in 2025 (Figure 25). Coupon rates, the contractual interest rates set at issuance, do not adjust after issuance and therefore lock countries into long-term financing costs determined at a specific moment in time. Between 2015 and 2025, foreign currency fixed coupon bonds issued by developing countries carried an average rate of 5.2 per cent, almost double compared to the average coupon rate on long-term United States Treasuries of 2.9 per cent⁹.



Figure 25

Coupon rates remain elevated as maturities shorten

Yearly average tenor and coupon rate of developing country bond issuances



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Bonds are weighted by par value.

⁹ UNCTAD calculations based on LSEG Data & Analytics



In 2025, the average coupon rate for all developing countries stood at 5.8 per cent, with significantly higher rates – close to 8 per cent – for FMEs and African sovereigns. EMEs and borrowers in Asia and the Pacific and Latin America and the Caribbean faced more moderate costs (Annex 2).

While coupon rates allow us to analyse the contractual borrowing costs of countries, trends need to be interpreted with care. In general, coupon rates are set considering the prevailing secondary market yield on outstanding bonds (Figure 26). However, because many developing countries sovereigns issue bonds irregularly, average coupon rates can be influenced heavily by large one-off transactions or higher-risk borrowers regaining market

access. Consequently, the easing of market conditions is not always fully reflected in the observed coupon rates.

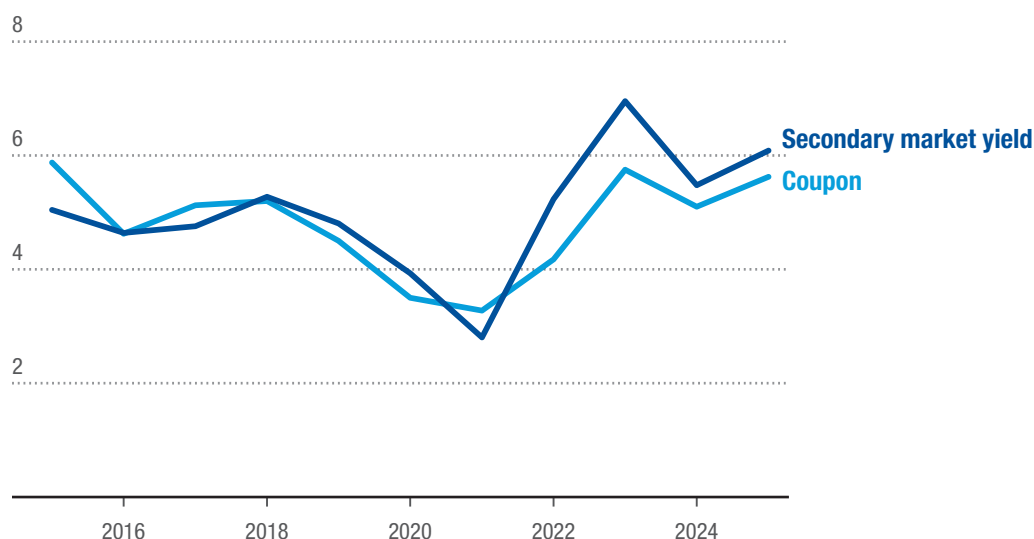
Borrowing conditions depend not only on interest rates but also on the maturity of debt contracts. Long-term finance is essential for funding investments critical to sustainable development such as infrastructure, education or health systems, whose returns materialise only over extended periods. By contrast, short-term debt increases refinancing risks, as maturing bonds must be rolled over more frequently, potentially at unfavourable terms. It can create a vicious cycle in which governments are locked into repeated short-dated refinancing, crowding out much-needed long-term investment.

Shrinking maturities heighten vulnerabilities and undermine governments' abilities to finance long-term development



Figure 26
Coupon rates broadly reflect prevailing secondary market yields

Median secondary market yield at issuance and coupon rate on new bond issuances in developing countries
(Per cent per annum)



Source: UNCTAD calculations based on LSEG Data & Analytics

Note: The secondary market yield is calculated as the market-value-weighted average yield-to-maturity of all outstanding bonds of the same country on the date before a new bond's issuance. Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Yields of bonds within one year of maturity are excluded.



Over the past decade, the maturity profile of developing-country bond issuances has shortened markedly. Bonds issued between 2015 and 2021 carried an average maturity of around 17 years, whereas by 2025 the average maturity of foreign currency bonds had fallen to just 9.5 years. This shift toward shorter maturities is broad-based across country groups (Annex 3). EMEs generally issue shorter-dated bonds than FMEs: in 2025, average maturities stood at 9 years compared with 11 years for FMEs. Asian and Pacific sovereigns issued bonds with particularly short maturities, averaging about 7 years.

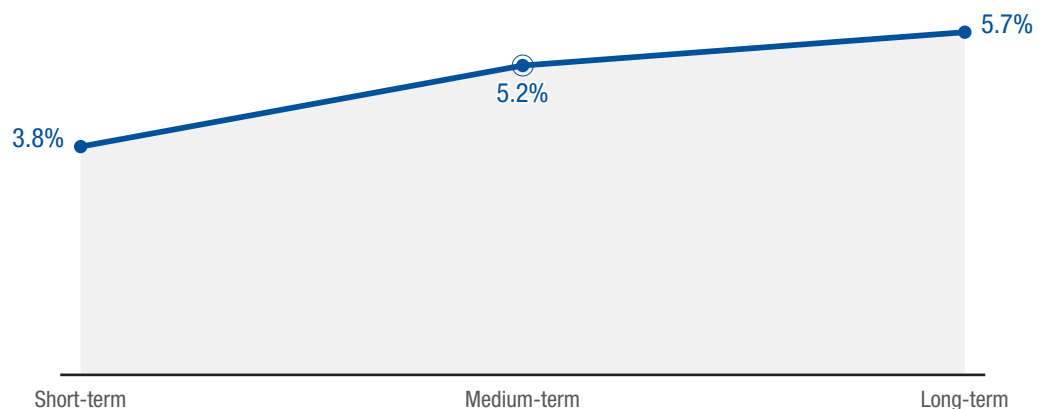
Several factors explain this shift; notably, shorter-term borrowing tends to be cheaper (Figure 27). Because longer maturities

extend the risk exposure of investors, the yield curve tends to be upward sloping in normal times making shorter maturities relatively more affordable. As a result, there is a positive correlation between the average coupon rate and the maturity on new issuances. Countries may also turn to short-term debt when liquidity pressures are acute or when global interest rates are high, to avoid locking in long-term obligations at elevated costs (World Bank, 2025a). The decision to issue shorter- versus longer-term bonds therefore depends on the steepness of the yield curve – and thus on the borrowing differential between short- and long-term bonds – as well as on sovereign debt management strategies and refinancing considerations.



Figure 27
Long-term borrowing carries a cost premium

Average maturity and coupon rate on bonds in developing countries
(Per cent)



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Short-term bonds are bonds with a maturity lower than 5 years, medium-term are between 5 and 10 years, long-term includes all bonds with a maturity larger than 10 years. Includes all fixed-coupon bonds issued by developing countries since 1990 in dollars, euros, and yen available through LSEG Data & Analytics. Defaulted bonds are excluded. Bonds are weighted by par value.



The analysis above shows that despite some improvement in borrowing conditions in bond markets, existing challenges persist with yields and coupon rates on new issuances still elevated, and maturities remaining short. Large upcoming repayment obligations are creating refinancing pressures, increasing strain on already tight public finances and crowding out development spending. With yields still high, opportunities for cost-reducing refinancing remain limited, as borrowing costs generally exceed those at original issuance. Only about 14 per cent of bonds issued between 2015 and 2020 belonged to countries where the current average yields were lower than yields at issuance. Borrowing premia for developing countries also persist, and, if anything, recent declines in yields appeared to reflect a return to pre-pandemic conditions rather than a fundamental reassessment of risk.

4.2 Loans

Although debt securities are an important source of external debt financing, many developing countries continue to rely on loans from multilateral, bilateral, and private lenders as their main source of external finance. Multilateral creditors include international financial institutions such as the World Bank Group and the IMF. Bilateral lenders consist of government entities, central banks and export credit agencies while private lenders include commercial banks and other private creditors such as manufacturers or exporters extending supplier credit (World Bank, 2025a).

The reliance on loans varies significantly across country groups. While debt securities made up 54 per cent of EMEs' outstanding external debt in 2024, they accounted for only 21 per cent in FMEs and a mere 8 per cent in ODEs, which largely lack access to international bond markets and rely heavily on multilateral and bilateral loans. More than half of external PPG debt in ODEs was owed to multilateral institutions, primarily the World Bank Group and the IMF. Multilateral creditors are also the largest external lenders to FMEs and African countries, but account only for a small share of outstanding debt in EMEs and developing countries in Asia and the Pacific.

Interest rates

In 2024, developing countries paid record interest rates of about 4.9 per cent on external loans, (Figure 28), more than doubling since 2022, reflecting the severe impact of global monetary tightening. Between 2015 and 2022, average borrowing costs on external loans were considerably lower, at around 2.5 per cent. The comparatively lower interest rates on loans compared to bonds can be explained by the concessional elements provided by multilateral and bilateral lenders. Differences across country groups reflect varying exposure to market-based instruments and differing eligibility for concessional finance (Annex 4).

Persistently higher yields restrict opportunities for cost-reducing refinancing of outstanding debt

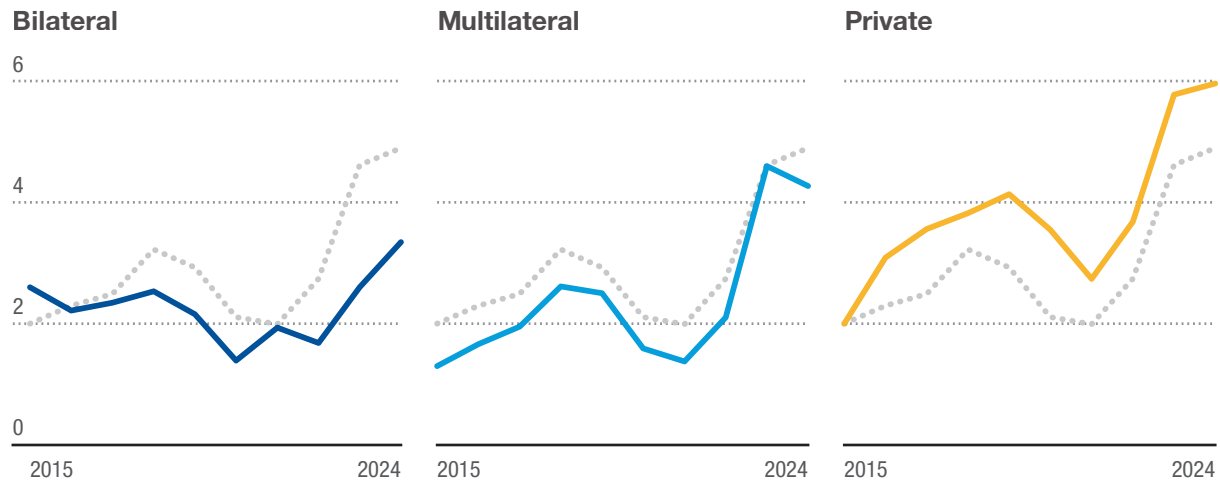




Figure 28
Interest rates on loans have soared

Average interest rate on new external loan commitments to developing countries by creditor type
(Per cent per annum)

... Average across creditor type



Source: UNCTAD calculation based on World Bank data.

Note: Interest rates are weighted by value of new commitments.

Interest rates on many loans to developing countries are tied to monetary policy stances in developed countries

Multilateral creditors play a crucial role in providing development-oriented, long-term financing at relatively low cost. Unlike private lending, which is often procyclical and sensitive to global financial conditions, multilateral financing typically provides countercyclical support during periods of capital flow reversals. Between 2015 and 2022, the average interest rate on multilateral loans to developing countries was just 1.9 per cent. This changed dramatically in 2023: in the wake of global monetary tightening, the average interest rate on new multilateral loan commitments more than doubled to 4.6 per cent. While the interest rate has slightly decreased in 2024 to 4.3 per cent, it remains at critically elevated levels.

The increase was particularly pronounced in Asia and the Pacific, where average interest rates almost tripled to 4.4 per cent in 2023. Similar surges occurred in Latin America and

the Caribbean, who face the highest interest rates on loans by multilaterals. Significantly higher costs were also evident in EMEs and FMEs, while increases in Africa and ODEs were smaller, due largely to their more limited reliance on the non-concessional lending windows of international financial institutions such as the World Bank's International Bank for Reconstruction and Development (IBRD).

Non-concessional lending by multilateral development banks typically carries variable interest rates linked to reference rates, such as the Secured Overnight Financing Rate (SOFR) for dollar-denominated loans and the Euro Interbank Offered Rate (EURIBOR) for euro-denominated loans. Consequently, a tightening in monetary policy in developed countries translates into higher reference rates and thus higher borrowing costs for developing countries. This means that while multilateral lending volumes tend to be countercyclical, the costs remain procyclical.



Although bilateral creditors remain an important source of external finance, their overall share has declined steadily across all country groups. Over the past decade, the creditor profile has increasingly shifted from traditional Paris Club creditors towards non-traditional bilateral lenders such as China (UNCTAD, 2025c). In 2024, bilateral creditors accounted for almost a third of external PPG debt in ODEs, 22 per cent in FMEs and just 6 per cent in EMEs.

Between 2015 and 2022 the average interest rate on bilateral loans was 2.2 per cent. This increased only slightly in 2023, as these loans are generally not priced at market rates: average interest rates reached 2.6 per cent and were lower than those of both private and multilateral lenders. While some countries experienced sharper increases, interest rate differentials across groups remained limited. However, compared to multilateral loans, bilateral borrowing costs have continued to rise, reaching a decade high of 3.3 per cent in 2024.

Loans from private creditors only play a marginal role in external sovereign financing. In 2024, 12 per cent of outstanding external PPG loans were owed to private lenders, a share that is broadly consistent across country groups. Prior to the increasing use of debt securities, commercial banks were the dominant private creditors for many countries. In 1990, more than half of all private PPG debt in developing countries was owed to commercial banks. Today, this share had declined to less than a fifth.

Private creditor loans are, on average, more costly than loans from bilateral or multilateral lenders and exhibit greater volatility. Like bonds, cross-border private lending is highly sensitive to external shocks such as monetary tightening in developed countries. Between 2015 and 2022, interest rates on private PPG loans to developing countries averaged 3.4 per cent, before rising sharply to 6 per cent in 2024. The interest rates were particularly high in Latin America and the Caribbean, where rates

reached 7.1 per cent, and in FMEs, where rates climbed to a record 6.9 per cent.

As with the non-concessional lending windows of multilateral development banks, private-sector loans are typically linked to reference rates and are therefore directly affected by monetary policy in developed countries. Higher policy rates raise also tighten global bank funding conditions, reducing leverage and risk-taking and thereby constraining cross-border lending (Bruno & Shin, 2015). As a result, commercial credit supply shrinks and costs rise.

Due to limited recent data, it is difficult to fully assess how borrowing costs on loans evolved in 2025. However, as variable-rate loans from multilateral and private lenders are linked to market reference rates, borrowing conditions have likely eased following interest rate cuts by major central banks. Future developments will depend on whether inflationary pressures remain contained, as well as on broader economic and political uncertainty, which could weigh on lending volumes.

Maturities

Whereas average maturities on debt securities have been decreasing over the last decade, maturities on external loans have remained largely stable (Figure 29). Between 2015 and 2024, developing countries contracted loans with an average maturity of 17 years. Multilateral lenders remain the most stable source of long-term finance, providing loans with an average maturity of 22 years. Bilateral creditors also tend to offer relatively long maturity loans, averaging 21 years. In contrast, loans from private lenders have the shortest maturities, at just 9 years on average. Overall, maturities on loans display limited volatility and are less affected by external shocks. The temporary dip in bilateral loan maturities in 2021 can largely be explained by short-term liquidity support provided to countries grappling with the impact of the COVID-19 pandemic.

Loans from private creditors play a marginal role in external sovereign financing

Multilateral lenders remain crucial in providing long-maturity loans to developing countries



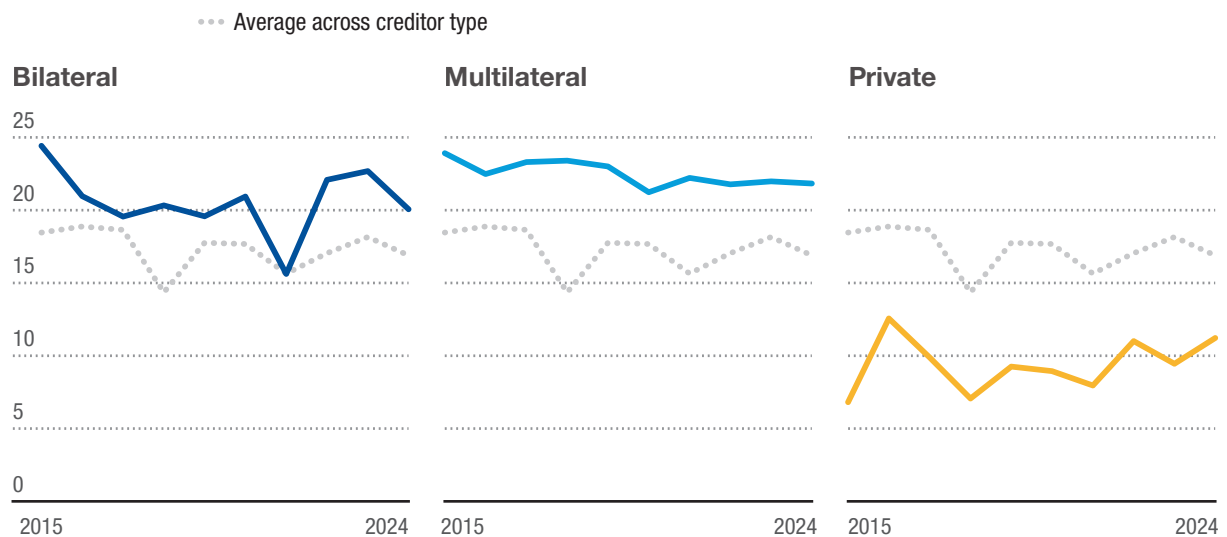
Regional disparities in loan maturities are relatively modest (Annex 5). Between 2015 and 2024, African countries received the longest maturity loans, averaging 19 years, largely due to multilateral lenders. However, average maturities declined significantly over this period, driven primarily by a shortening of the maturities on bilateral lending. Latin American and Caribbean sovereigns received the shortest maturity loans across creditor groups, with an average maturity of 14 years. Asian and Pacific sovereigns contracted loans with

an average maturity of 17 years, with some countries benefitting from long-term bilateral loans provided by regional lenders such as Japan and the Republic of Korea¹⁰.

Differences across country groups differentiated by financial market integration are more pronounced. EMEs contracted loans with the shortest maturities, averaging 15 years, followed by FMEs at 19 years and ODEs at 26 years, with the latter benefiting from long-term concessional financing by multilateral and bilateral lenders.

Figure 29
Loan maturities have remained mostly stable

Average maturities on new external loan commitments to developing countries by creditor type
(Years)



Source: UNCTAD calculation based on World Bank data.

Note: Maturities are weighted by value of new commitments.

¹⁰ UNCTAD based on World Bank data

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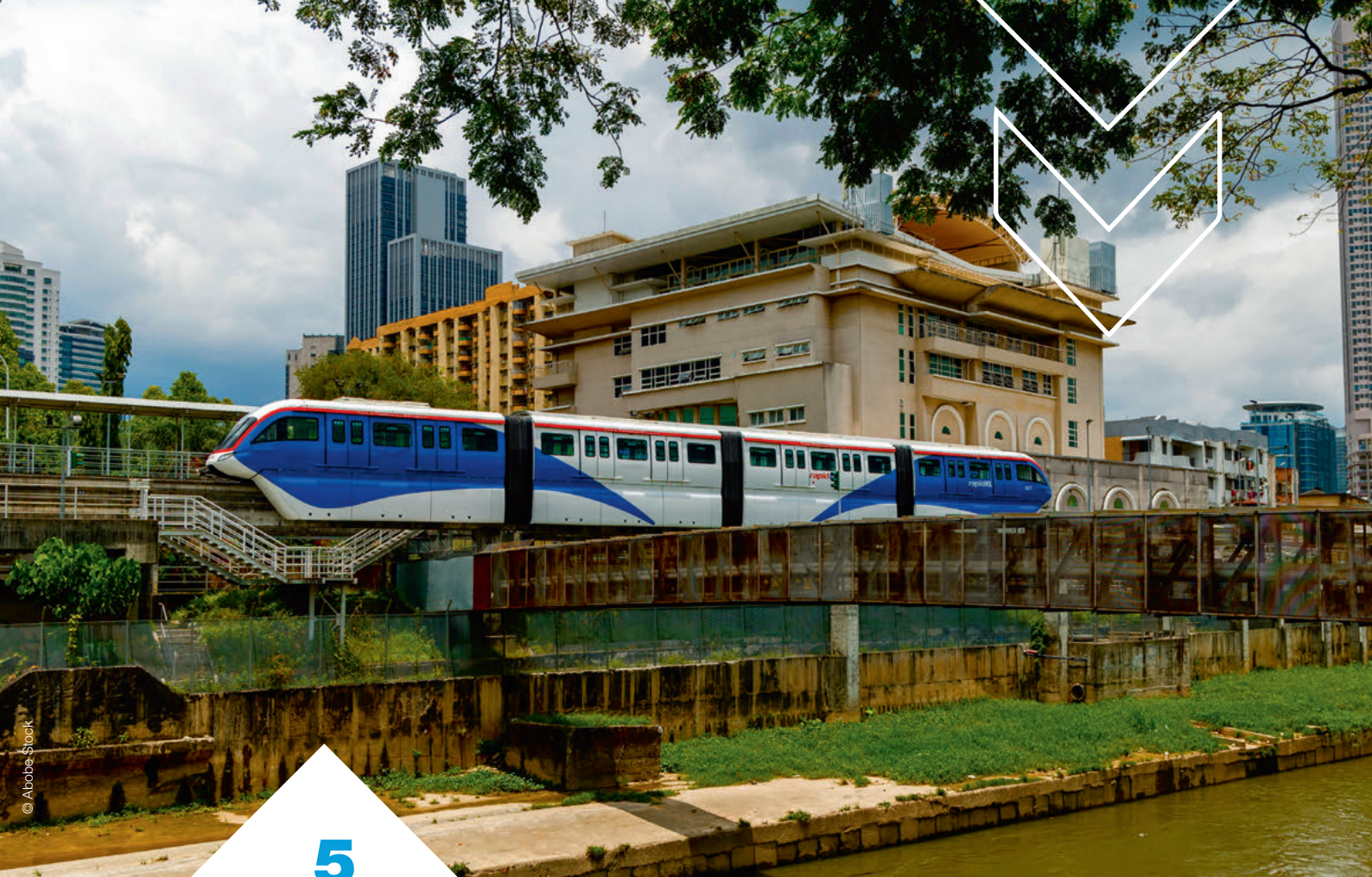
Overall, loans remain a vital source of external financing for many developing countries, particularly for those without access to international financial markets. Rising global interest rates have led to sharp increases in the cost of newly contracted loans, and even multilateral lenders have raised their rates substantially. Despite this, multilateral lenders continue to play a crucial role by providing stable, predictable, and long-term financing. Their ability to maintain lending during periods of global capital flows retrenchment, and

to do so at long maturities, makes them central to supporting development.

Although global policy rates have declined over the past years, the loans contracted at higher rates during the tightening phase will place a strain on the fiscal space of developing countries going forward. Ensuring sustained access to affordable long-term financing therefore remains critical, not only to safeguard debt sustainability, but also to prevent interest payments from crowding out essential development spending.

Loans contracted during the high-interest-rate period will continue to weigh on public finances in developing countries





What drives the cost of external sovereign debt financing?

Section Summary

- ▶ Drivers of sovereign borrowing costs can be categorised as external or domestic factors, allowing for a better assessment of applicable policy solutions.
- ▶ While domestic factors can be addressed at the country level, external factors lie beyond a country's direct control.
- ▶ External factors include global monetary policy, investor risk appetite, exchange rate movements, and global bond yields, all of which shape international capital flows and borrowing conditions. Climate shocks and natural disasters not only damage domestic economies but are increasingly reflected in sovereign risk pricing. Investor bias or market friction can influence the pricing of debt. External shocks that restrict or divert financial flows are also important, such as the recent decline in ODA which has further reduced the availability of low-cost external funding.
- ▶ Domestic factors include macroeconomic fundamentals and institutional quality, which shape the sovereign risk premia and resilience to external shocks. Liquidity risk and currency risk can further widen spreads. Mispricing may also arise from domestic constraints, including limited institutional capacity, data transparency gaps, and weak investor communication.



The cost of external debt financing in developing countries is shaped by the interaction of multiple factors which, although linked, can broadly be grouped into external (push) and domestic (pull) drivers. This distinction is analytically useful and helps identify appropriate policy responses, as domestic drivers are country-specific, while external factors remain largely beyond national control.

Although it is well established that both domestic and external factors influence sovereign borrowing costs, determining their relative importance is challenging given their strong interconnection and the fact that they impact developing countries differently. External (push) factors will tend to affect countries based on their levels of integration into global capital markets, the composition of their capital inflows, their levels of dependence on external finance and their capacity to influence the terms of their financing.

While it has been argued that domestic fundamentals have improved in many developing countries (IMF, 2025c), external conditions have remained challenging, with high global interest rates, heightened uncertainty, and declining concessional finance weighing on capital flows. This section provides an overview of the main factors shaping external sovereign borrowing costs.

5.1 External Factors

Monetary policy in developed countries

An important determinant of external borrowing costs in developing countries is monetary policy in developed countries such as in the United States, the Eurozone or Japan (UNCTAD, 2022a). Monetary tightening mechanically raises the interest rate on variable rate debt instruments that are priced using reference rates such as Secured SOFR or EURIBOR.

Flexible dollar loan contracts offered by the World Bank's IBRD, for example, are priced on the SOFR, which closely tracks the effective federal funds rate.

Beyond this direct pricing channel, monetary policy in developed countries, is a crucial determinant of international capital flows. Increases in the federal funds rate drives capital outflows from developing countries, as higher interest rates in advanced economies lead investors to rebalance portfolios away from riskier assets and international banks to deleverage, thereby tightening external financial conditions (Miranda-Agrippino & Rey, 2020). This dynamic is part of the “global financial cycle”, characterised by the co-movement of capital flows and asset prices and largely driven by financial conditions in developed countries (Rey, 2015).

Investor risk appetite

Global investor risk appetite is an important driver of the global financial cycle and a determinant of the cost of external debt for developing countries. Declines in global risk appetite are associated with retrenchment in cross-border capital flows and rising risk premia (Akinci et al., 2022). During periods of heightened global risk aversion – so-called “risk-off” episodes – investors sell off risky assets and banks deleverage, demanding higher returns on riskier exposures. Investments in developing countries, which are typically perceived as a riskier asset class, are particularly vulnerable to such shifts in sentiment, often experiencing sharp capital outflows, currency depreciations, asset price declines, and increases in interest rates (IMF, 2025c). Investor risk appetite is influenced by a range of global factors, including monetary policy in developed countries, financial crises, shocks such as the COVID-19 pandemic, and geopolitical tensions.

Financing conditions are determined through an interplay of external and domestic factors



The global financial cycle is a powerful determinant of international capital flows and borrowing conditions

Global exchange rate dynamics

As with monetary policy and investor risk appetite, changes in the relative value of the US dollar are a key contributor to the global financial cycle (UNCTAD, 2025a). A dollar appreciation is typically associated with tighter global financial conditions, reflected in widening sovereign borrowing spreads and a contraction in cross-border bank lending (Obstfeld & Zhou, 2023).

Exchange rate movements also directly affect borrowers' balance sheets and the cost of capital. As a large share of developing countries' external debt is denominated in foreign currency, an appreciation of that currency increases the value of debt and debt service obligations in domestic currency terms (UNCTAD, 2022a). When combined with revenues that are generated largely in domestic currency and weaker export performance during periods of dollar strength, this can cause fiscal positions to deteriorate and increase sovereign risk premiums (Hofmann et al., 2020; UNCTAD, 2023). With the increasing use of local currency denominated debt instruments, exchange rate movements can also lead to mismatches in the creditor's balance sheet. A depreciation of the borrower's local currency relative to the investor's currency reduces investors' effective returns, which can trigger capital outflows and tighten financing conditions.

Bond yields in developed countries

Higher bond yields in developed countries have generally been associated with tighter global financial conditions, driving up borrowing costs in developing countries (UNCTAD, 2025a). In particular, US Treasury yields, which serve as the key global risk-free benchmark on which bonds are priced, can significantly influence international portfolio allocation and the cost of external

financing abroad. However, this relationship has recently weakened, as rising long-term bond yields in developed countries have coincided with a slight easing of financing conditions in developing countries.

Mispricing

An often-cited factor for the inflated cost of capital in developing countries is the mispricing of sovereign debt instruments. Potential mispricing of instruments can arise due to an overstating of sovereign credit risk by investors, lenders and credit rating agencies as well as in primary bond markets, where yields may be set too high at issuance. Borrowing costs can be inflated by undue risk perceptions linked, among other things, to systemic bias and information asymmetries. This is reflected in the fact that sovereign bonds with similar credit ratings are issued at different coupon rates and trade at markedly different yields, while sovereign credit assessments themselves have repeatedly been criticized for overstating the risk profile of developing countries and thereby reinforcing elevated borrowing costs (UNCTAD, 2025b).

In primary markets, mispricing may arise from misaligned incentives between sovereign issuers and financial intermediaries managing bond issuances. While sovereigns aim to minimise borrowing costs, intermediaries may prioritise reducing placement risk and ensuring successful issuance, potentially resulting in higher-than-necessary coupon rates (van der Wansem et al., 2019). Evidence of oversubscription in developing country bond issuances could suggest that investor demand exceeds the amount offered. Although true demand in the primary market is hard to assess, this could indicate that issuers are paying higher rates than necessary.



Climate shocks and natural disasters

Climate change and climate-related disasters drive up financing costs for developing countries, which face disproportionate exposure to extreme weather events and long-term climatic shifts, suffering greater losses in lives, infrastructure, and economic output (IPCC, 2022). Investors increasingly price this vulnerability into sovereign bond yields, leading to higher borrowing costs for highly exposed countries (Kling et al., 2025).

Climate-related and natural disasters also disrupt economic activity, reduce the capacity to mobilise domestic resources, and raise public expenditure on social transfers and reconstruction (UNCTAD, 2022b). These dynamics often trigger credit rating downgrades and give rise to a vicious cycle where elevated climate risk erodes debt sustainability, weakens creditworthiness, and inflates borrowing costs, ultimately constraining countries' ability to invest in climate adaptation and mitigation (Dryden & Volz, 2025; UNCTAD, 2025a).

Availability of development finance

External development finance – typically provided by official creditors such as multilateral development banks and bilateral lenders – is characterized by its long-term nature, concessional terms, and countercyclical provision, making it a comparatively inexpensive and stabilizing source of finance for developing countries. Predictable inflows at below-market terms reduce reliance on more volatile and costly market financing and help ease pressures during downturns.

More recently, bilateral official development assistance (ODA) – a key component of development finance – has declined, reflecting shifting donor priorities (United Nations, 2025b). This decline in concessional resources means countries are

increasingly forced to turn to commercial or other non-concessional creditors, which charge higher interest rates, offer shorter maturities and tend to exacerbate the procyclicality of external flows.

5.2 Domestic Factors

Credit risk

Credit risk plays a significant role in determining the cost of sovereign debt and reflects the risk that a government fails to meet its future repayment obligations to their creditors. This risk can arise from a country's internal political and economic conditions, such as high debt levels, fiscal deficits, low GDP growth, political instability, and weak institutions. Such factors can heighten the chance of government default and erode investor confidence by signalling reduced repayment capacity or willingness. For debt securities, weaker domestic fundamentals are associated with widening credit spreads, as investors demand higher yields to compensate for increased risk (Petrova et al., 2010; Presbitero et al., 2016). However, while these determinants are rooted in domestic conditions and policies, they are not immune to external influences: adverse commodity price shocks, for example, can weaken fiscal positions and growth dynamics, thereby amplifying sovereign credit risk.

Exchange rate risk

For debt instruments denominated in local currency, global creditors are also exposed to exchange rate risks which can determine the allocation and pricing of external financing. A depreciation of the local currency – driven by either external or domestic factors such as inflation or the monetary policy framework – reduces the foreign currency returns of investors. As a result, pricing of local currency sovereign debt instruments can embed a currency risk premium, reflecting the compensation required by foreign creditors for bearing exchange rate risk (Du & Schreger, 2016).

Climate vulnerabilities are increasingly priced into sovereign borrowing costs

Borrowing costs reflect domestic political and economic conditions – yet these are often shaped by global forces



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Liquidity risk

Liquidity risk is the risk that a financial asset, such as a sovereign bond, cannot be quickly traded without significantly moving its market price or incurring high transaction costs. This may be due to limited numbers of buyers and sellers and low levels of trading activity, which results in investors demanding a liquidity premium to compensate for potential losses when exiting positions (OECD, 2026). This can force issuers to offer higher interest rates on new debt. Smaller external bond markets with fewer global investors, wider bid-ask spreads, and greater vulnerability to stress events mean that developing countries tend to face more acute liquidity risks.

Mispricing

Mispricing can also arise from country-specific shortcomings. Developing countries sometimes lack the institutional capacity, technical expertise and market experience required to mitigate mispricing stemming from distorted risk perceptions, as lower levels of data transparency and availability and less effective engagement with investors and credit rating agencies can exacerbate information asymmetries and weaken investor confidence (Knight & Northfield, 2020; World Bank, 2025b). In addition, limited technical expertise and experience within debt management offices and treasuries can result in poorly timed or overpriced bond issuances and loan agreements.

The following section links these drivers, which lie at the heart of the high cost of capital, to policy options designed to address them.



Policy approaches for lower costs and better access to external debt finance

Section Summary

- ▶ Dynamics around the pricing and volume of debt financing have made external financial flows to developing countries too costly, too volatile, and insufficient in scale to meet sustainable development needs. The policy approaches proposed in this section focus on addressing the impact of these challenges on sovereign debt financing.
- ▶ Policies need to address the domestic and external drivers of high borrowing costs at both the national and at the multilateral levels.
- ▶ While many of the drivers of the high cost of external debt finance are external and outside the direct control of individual developing countries, they still have significant capacity and agency to reduce borrowing costs and increase the scale of their external debt financing, particularly over the medium to longer term.
- ▶ National measures focus on strengthening resilience, improving actual and perceived creditworthiness, optimizing debt portfolio structures, reducing the pricing of debt instruments and expanding use of innovative financing tools.
- ▶ Multilateral and cooperative actions aim to address structural external drivers by tackling constraints in the international financial architecture, expanding access to concessional finance, and strengthening technical assistance and borrower coordination.

The preceding analysis identifies three critical challenges associated with existing external financial flows to developing countries that hinder the effective implementation of national development agendas:

- i) They are **costly to service**.
- ii) They are **insufficient in scale**.
- iii) They are **subject to significant volatility**.

While the scale and servicing costs associated with equity flows are considerable, the analysis highlights that the principal drivers of increased costs and volatility arise from external debt dynamics. The policy proposals that follow address these challenges from that perspective.

As discussed in Section 5, borrowing conditions are shaped by a combination of domestic and external drivers. This distinction has important implications for policy design. While domestic drivers can, at least in part, be addressed through national level measures, external drivers lie beyond a country's direct control and need solutions at the multilateral level or through

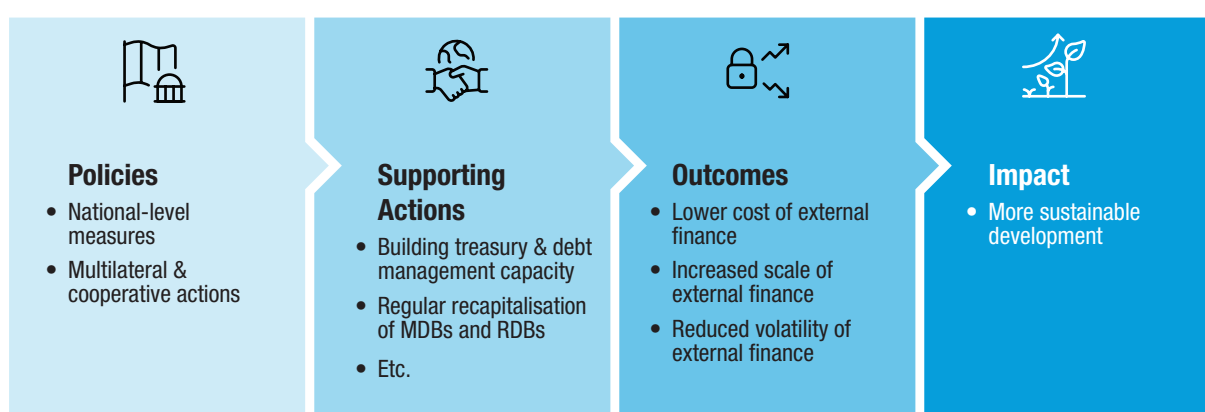
coordinated policy action between countries.

National-level measures – such as macroeconomic reforms – can strengthen resilience and improve actual and perceived creditworthiness, while multilateral and cooperative actions seek to reshape the global financial architecture within which developing countries operate. Progress towards sustainable financing requires coordinated policy action at both these levels.

A Theory of Change (ToC)¹¹ approach underpins this policy framework (Figure 30). Achieving the ultimate objective – enabling developing countries to finance their development agendas effectively and sustainably – requires a series of policies that lead to outcomes which address the three challenges identified above, namely, lowering borrowing costs, expanding access to financing, and reducing volatility in external financing conditions. For the policies to succeed and contribute to the overall objective of sustainable development, a set of supporting actions should be undertaken as part of their implementation.

 **Figure 30**
Addressing external debt challenges

The Theory of Change as it relates to external debt flows to developing countries



Source: UNCTAD.

¹¹ A ToC helps make explicit the logic of change behind planned interventions, linking activities to outcomes, making assumptions explicit, and identifying the conditions necessary for success. See United Nations Development Group (2016) for the theoretical underpinnings and UNICEF (2025) for an example of the application of ToCs.

6.1 National-level measures

Strengthening macroeconomic frameworks and institutional quality

is central to reducing sovereign credit risk and mitigating the impact of external spillovers. These policies can include establishing sound fiscal frameworks, improving institutional strength and effectiveness, accumulating fiscal buffers, and diversifying the economic base. Together these measures can lower borrowing costs by addressing the risk premia and attracting more long-term, stable capital. However, such reforms often involve important trade-offs, require time to yield results and may face significant political and operational constraints.

Improving the structure and investor composition of sovereign debt portfolios

can reduce refinancing risks, currency mismatches, and vulnerability to volatile capital flows. Heavy reliance on foreign currency-denominated and short-term borrowing exposes countries to exchange rate risk and rollover pressures, while overdependence on non-resident investors increases exposure to sudden capital outflows. Reducing foreign currency debt and extending maturities can therefore lower credit and refinancing risks, lower borrowing costs and attract more financing. Expanding local currency financing and cultivating a diversified investor base can further mitigate volatility linked to shifts in global financial conditions. Diversification should not only involve balancing domestic and external investors but also reducing reliance on any single group of creditors or market segments. Given the borrowing premium on long-term and local currency financing, countries need to strike a cost-effective balance in their debt portfolios. Deepening domestic capital markets can help reduce the premium on local currency financing (UNCTAD, 2025a). However, increasing reliance on domestic investors may create new challenges, including the risk of a sovereign–bank nexus, where

banks' stability becomes closely tied to the government's fiscal health, and a reduced availability of credit to the private sector.

Enhancing data transparency and investor communication reduces market frictions and information asymmetries, thereby strengthening investor confidence and lowering perception-driven risk premia and borrowing costs. Improving debt recording systems, ensuring high-quality and timely debt statistics, and maintaining regular communication with markets and credit rating agencies contribute to more accurate risk assessments and more stable financing conditions. Achieving this could require the establishment of dedicated investor relations units and the strengthening of debt management offices – through both national efforts and, where necessary, technical assistance.

Strengthening capacity in debt issuance and market timing enables governments to reduce mispricing risks and lower the cost of new borrowing. By closely monitoring secondary market developments, global liquidity conditions as well as investor demand and investor composition, countries can better identify favourable issuance windows and opportunities for liquidity operations to reduce refinance risks and smooth debt service profiles. Moreover, enhanced capacity to engage with creditors and financial advisers in primary markets could improve pricing on debt instruments at issuance.

Scaling up the use of innovative financial instruments, such as debt-for-development swaps, sustainability-linked bonds, and blue and green bonds, can help mobilize additional financing at lower costs, broaden the investor base, and attract development- and impact-oriented capital (UNCTAD, 2025d; UNCTAD 2023a). However, these instruments often require significant external credit enhancement – such as the policy-based guarantees provided by the World Bank in the Côte d'Ivoire swap (World Bank, 2024) – to secure favourable terms and deliver material development benefits.



Similarly, while products such as green and blue bonds have the potential to reduce financing costs, the pricing advantage – the so-called “greenium” – has proven to be modest (Panizza et al., 2025; UNCTAD, 2025d). Consequently, support from external partners through guarantees and technical assistance, is often necessary to improve pricing on these instruments and crowd-in investments.

6.2 Multilateral and cooperative actions

Ensuring that multilateral and regional development banks can provide more concessional finance, grants, guarantees, and local currency loans

is essential for lowering borrowing costs, reducing procyclicality and expanding the overall financing scale. Development banks are crucial providers of stable and development-oriented finance, and their lending volumes have often been counter-cyclical during global shocks. However, in some cases their low-risk appetite, combined with infrequent and insufficient capital replenishment can contribute to the adoption of a risk averse operating model that limits their development impact.

At the same time, the cost of non-concessional lending of these institutions tends to rise in tandem with global interest rates. Increasing the share of concessional lending and grants would therefore provide more affordable financing and help shield developing countries from the effects of rising global interest rates. Moreover, expanding the provision of local currency loans could reduce exchange rate risks for borrowers, while greater use of guarantees could crowd in private capital at lower overall cost.

Strengthening the financial capacity of development banks is a prerequisite for scaling up such support. This requires regular capital increases by shareholders and replenishment of concessional windows, such as the World Bank’s International Development Association, including

through bilateral donations. Additional resources could also be mobilized through the rechannelling of Special Drawing Rights where legally feasible and through implementation of the G20-commissioned review of multilateral development bank’s capital adequacy frameworks (UNCTAD, 2023a; United Nations, 2025a). Furthermore, under a revised methodology for rating multilateral development banks, Standard and Poor’s estimated that these institutions could carry an additional \$600–800 billion in development loans on their balance sheets and still be rated AAA (Humphrey, 2025).

Scaling up technical assistance to strengthen debt management capacities in developing countries

can reduce vulnerabilities and lower sovereign credit risk, thereby enhancing investor confidence. Programmes such as the UNCTAD Debt Management and Financial Analysis System (DMFAS) provide critical support in improving countries’ operational capacity to accurately record, monitor and manage public debt. Enhanced institutional capacity in debt management enables countries to better manage risks and make informed and transparent financing decisions, thereby lowering vulnerabilities and improving creditworthiness. In this way, technical assistance can contribute to increasing financing volumes and reducing borrowing costs and volatility.

Establishing a Borrowers’ Platform

can promote South–South peer learning, serve as a knowledge repository, facilitate capacity-building in developing countries, and ensure a stronger collective voice for sovereign borrowers within the global financial architecture. Through enhanced cooperation and shared learning among borrowers, countries can strengthen their debt management capacities, expand the effective use of innovative financing instruments, and more actively shape reforms of the international financial and debt architecture. Participation in the platform can send a positive market signal if it leads to strengthened debt-sustainability practices and improved debt transparency.



An institutionalized Borrowers' Platform can therefore contribute to improved financing conditions for developing countries.¹²

Scaling up global investment in climate adaptation and mitigation is critical to expanding financing volumes and mitigating increases in borrowing costs associated with climate change. The United Nations Environment Programme (2025) estimates annual financing needs for climate adaptation in developing countries of between \$310 billion and \$365 billion against actual international public finance of around \$26 billion in 2023. Scaling up international financing for climate mitigation and adaptation can reduce the risk of climate change-induced disasters and enhance countries' resilience to climate shocks, limiting the extent to which climate risk is priced into sovereign borrowing costs (UNCTAD, 2021; UNCTAD 2022b).

Expanding the scale and quality of access to the global financial safety net can reduce financing volatility and lower risk premia for developing countries. Central bank swap lines, IMF liquidity facilities, and regional financial arrangements that can be accessed rapidly and without excessive conditionality would enable developing countries to address temporary liquidity pressures before they escalate into economically damaging solvency crises (UNCTAD, 2025c). Strengthening and broadening the global financial safety net would increase short-term financing availability when private capital flows decrease and could reduce the actual and perceived default risk, which in turn contributes to lower borrowing costs and more stable financing conditions for sustainable development.

Reversing the recent decline in ODA and recommitting to achieving the 0.7 per cent of gross national income target, would significantly increase the amount of stable, low-cost funding available to developing countries. Currently only five developed countries are meeting or exceeding this target and in 2024,

total ODA amounted to less than half of this targeted level (OECD, 2025). In addition, allocations to other developed countries and the increased diversion of ODA to cover in-donor country costs for hosting refugees and asylum seekers have reduced the share of concessional resources reaching developing countries in recent years (United Nations, 2025b).

Standardising and normalising the adoption of debt service pause clauses in sovereign debt contracts to temporarily suspend debt service payment in the face of climate or other extraordinary external shocks such as natural disasters (UNCTAD 2021; UNCTAD, 2022b). Embedding automatic standstill during a predefined event would free up resources to finance emergency response and macroeconomic recovery. These measures would not only directly reduce short-term liquidity costs, but they could also help to lower risk premia by reducing the likelihood of countries defaulting on their debt commitments because of external shocks. Pricing of debt instruments could therefore improve, provided that any premium reflecting the potential reduction in cash flows to creditors remains modest.

Improving international debt restructuring mechanisms to make them fairer, more efficient, and more predictable can lower risk premia and is key to restoring access to financing after a default. A timely and comprehensive restructuring process that restores genuine debt sustainability and supports rapid macroeconomic recovery enables countries to regain market access more quickly and avoid prolonged exclusion from capital markets. This can also reduce the risk premium, as prolonged and opaque restructuring processes can raise borrowing costs, as investors price in the risk of disorderly resolution. Access to restructuring frameworks such as the G20 Common Framework also need to be available to all countries in debt distress, including those middle-income countries that are not already eligible (UNCTAD, 2023a).

¹² See <https://unctad.org/topic/debt-and-finance/borrowers-platform>.





7

Conclusion

The ability of developing countries to mobilize affordable financial flows in sufficient quantity to support development goals remains a key problem at the heart of development finance. A series of global crises, coupled with existing structural weaknesses and inequities in the global financial architecture have meant that the scale of capital available to developing countries from external sources has been insufficient and that what has been accessed has often been too costly. These conditions have also contributed to high levels of volatility in external financial flows and made it harder for countries to pursue sustainable development.

In recent years, this dynamic has been largely driven by the rising cost of debt financing – particularly sovereign debt financing – which has resulted in shrinking fiscal space in most developing countries.

Despite some easing in financial markets during 2025, borrowing conditions are still heavily affected by recent shocks. Developing countries continue to pay a significant borrowing premium compared to developed countries, and short maturities,

elevated coupon rates and debt contracted at higher rates will continue to strain public finances going forward. Separate, but deeply intertwined, external and domestic factors are behind this dynamic, but they affect developing countries differently. Differences in the degree of integration into global capital markets and in access to concessional financing mean that overall exposure to the drivers of borrowing costs varies across developing countries, making one-size-fits-all policy approaches difficult.

Nevertheless, there is much that can be done to increase the scale of external debt finance, reduce its cost and make it less volatile. While systemic change is needed at the multilateral level to address structural causes and sustainably improve the functioning of the global financial architecture, most developing countries still have significant agency and capacity to address the many national-level drivers of their high capital costs themselves. These efforts can be further supported through targeted technical support programmes and South-South cooperation and peer learning.

The agenda is long, but the goal is worthy.



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Annex

Annex 1 **Developing countries by region and level of integration into global capital markets**

Region	Emerging Market Economies (EMEs)	Frontier Market Economies (FMEs)	Other Developing Economies (ODEs)
Africa	Benin, Egypt, Morocco, South Africa	Angola, Cameroon, Côte d'Ivoire, Ethiopia, Gabon, Ghana, Kenya, Mozambique, Namibia, Nigeria, Rwanda, Senegal, Zambia	Algeria, Botswana, Burkina Faso, Burundi, Cabo Verde, Central African Republic, Chad, Comoros, Dem. Rep. of the Congo, Congo, Djibouti, Equatorial Guinea, Eritrea, Eswatini, Gambia, Guinea, Guinea-Bissau, Lesotho, Liberia, Libya, Madagascar, Malawi, Mali, Mauritania, Mauritius, Niger, Sao Tome and Principe, Seychelles, Sierra Leone, Somalia, South Sudan, Sudan, Tanzania, Togo, Tunisia, Uganda, Zimbabwe
Latin America and the Caribbean	Argentina, Brazil, Chile, Colombia, Dominican Republic, Ecuador, Mexico, Panama, Peru, Trinidad and Tobago, Uruguay, Venezuela	Barbados, Bolivia, Costa Rica, El Salvador, Guatemala, Honduras, Jamaica, Paraguay, Suriname	Antigua and Barbuda, Bahamas, Belize, Cuba, Dominica, Grenada, Guyana, Haiti, Nicaragua, Saint Kitts and Nevis, Saint Lucia, Saint Vincent and the Grenadines
Asia and the Pacific	Bahrain, China, India, Indonesia, Kazakhstan, Kuwait, Lebanon, Malaysia, Oman, Philippines, Qatar, Saudi Arabia, Türkiye, United Arab Emirates	Armenia, Azerbaijan, Georgia, Iraq, Jordan, Maldives, Mongolia, Pakistan, Papua New Guinea, Sri Lanka, Tajikistan, Uzbekistan	Afghanistan, Bangladesh, Bhutan, Brunei Darussalam, Cambodia, Dem. People's Rep. of Korea, Fiji, Iran, Kiribati, Kyrgyzstan, Lao People's Dem. Rep., Marshall Islands, Micronesia, Myanmar, Nauru, Nepal, Palau, Samoa, Singapore, Solomon Islands, Syrian Arab Republic, Thailand, Timor-Leste, Tonga, Turkmenistan, Tuvalu, Vanuatu, Viet Nam, Yemen



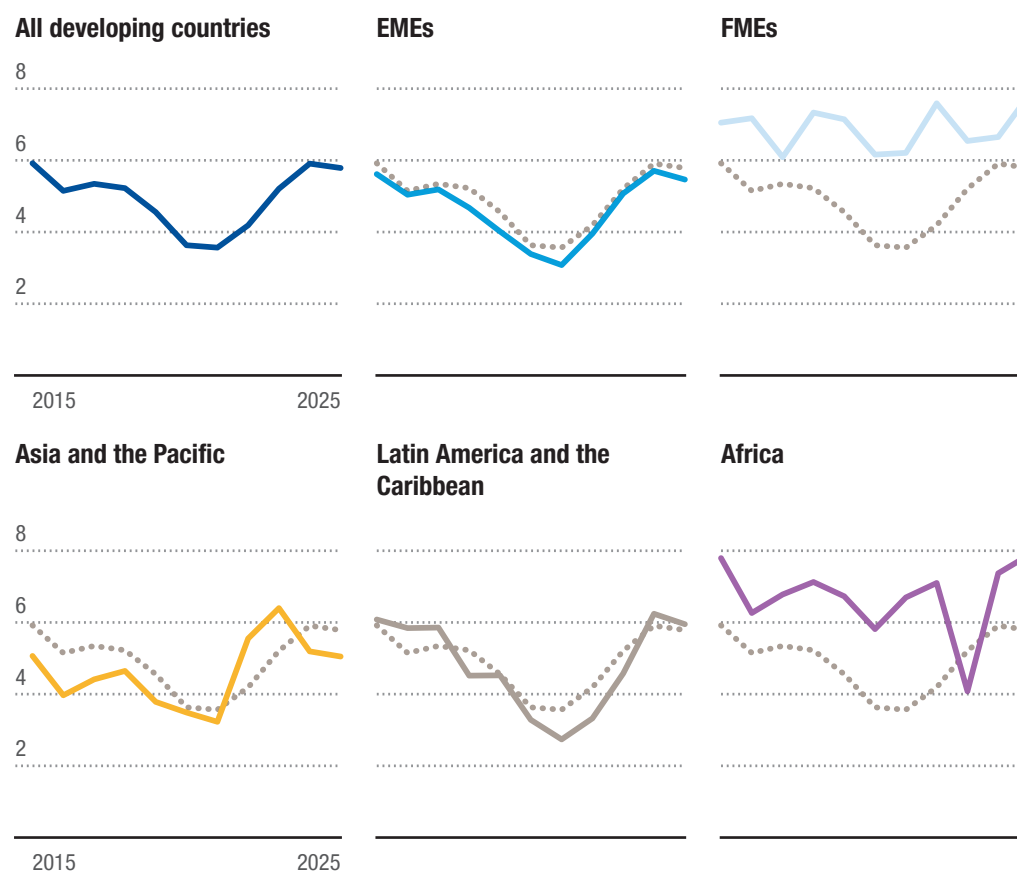


Annex 2

Coupon rates on new bond issuances

Yearly average coupon rates of developing country bonds issuances
(Per cent per annum)

... All developing countries



Source: UNCTAD calculations based on LSEG Data & Analytics.

Note: Includes all fixed coupon bonds issued by developing countries since 1990 in dollars, euros, and Japanese yen. Bonds are weighted by par value.

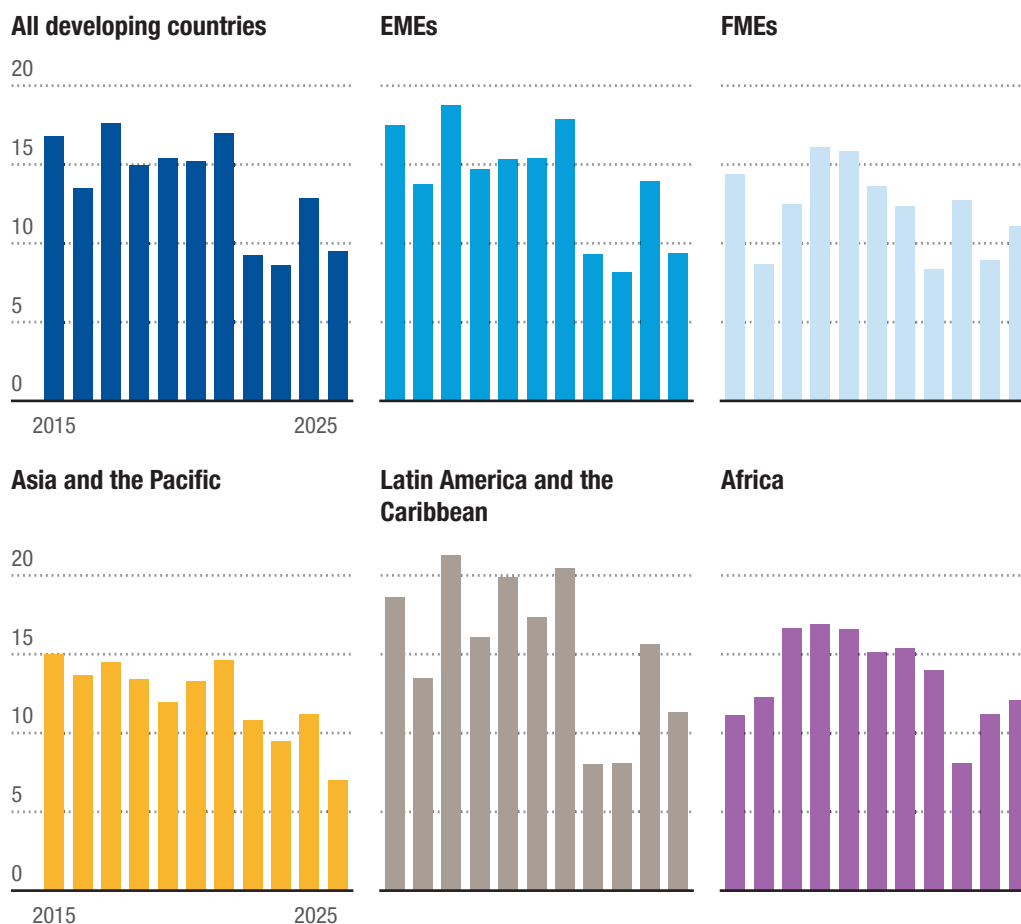




Annex 3

Maturities on new bond issuances

Yearly average maturity of developing country bond issuances
(Years)



Source: UNCTAD calculations based on LSEG Data & Analytics.

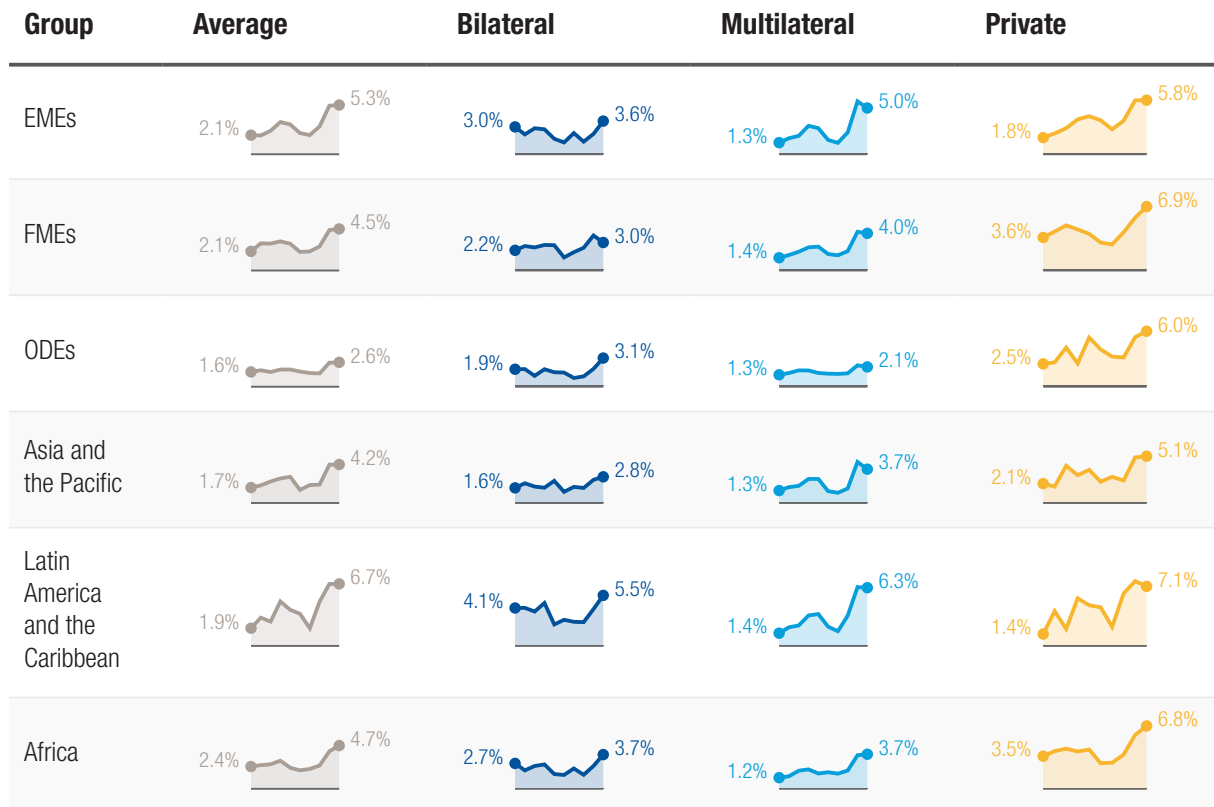
Note: Includes all fixed coupon bonds issued by developing countries since 1990 in dollars, euros, and Japanese yen. Bonds are weighted by par value.





Annex 4 Interest rates on new loan commitments

Average interest rate on new external loan commitments to developing countries,
2015 – 2024
(Per cent per annum)



Source: UNCTAD calculations based on World Bank data.

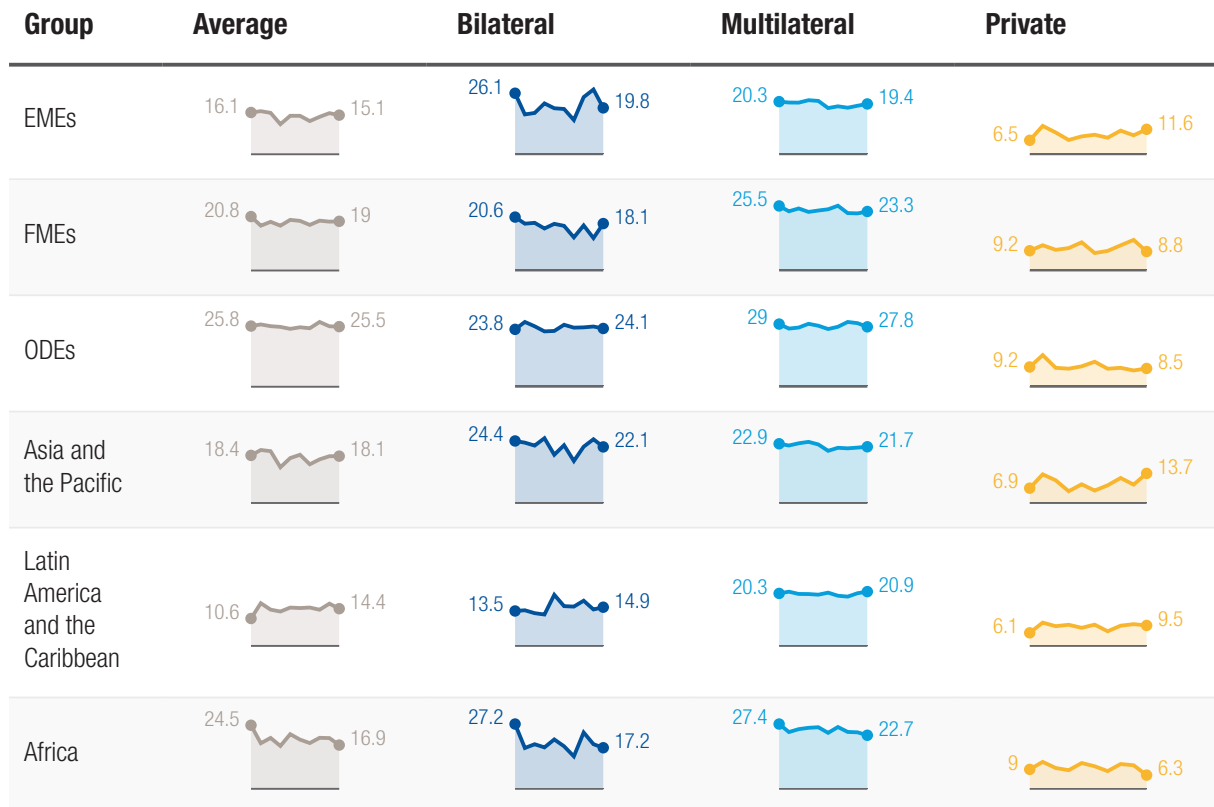
Note: Interest rates are weighted by value of new commitments.





Annex 5 Maturities on new loan commitments

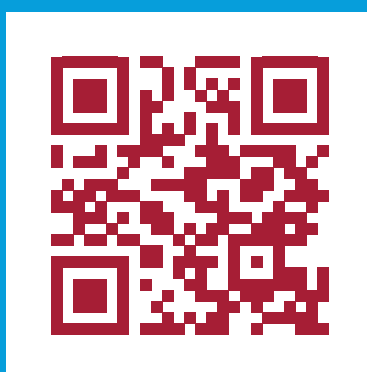
Average maturities on new external loan commitments to developing countries,
2015 – 2024
(Years)



Source: UNCTAD calculations based on World Bank data.

Note: Maturities are weighted by value of new commitments.





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